



Project Gamma

Draft vendor due diligence findings
Financial and accounting

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Important Notice

Pursuant to the Engagement Letter dated October 12, 2023, CMLS Financial Solutions Inc. (the "Client") has engaged Deloitte LLP ("Consultant") to perform certain services in connection with Client's evaluation of a proposed sale of a majority interest in a business code-named Project Gamma (the "Company") (the "Proposed Transaction"). This written communication summarizes Consultant's significant findings and observations resulting from the performance of the services described in *Appendix 1 – Scope of services* (the "Services") through February 8, 2024.

This written communication has been prepared on the basis set out in the *Scope and basis* on Page 3 and in the Appendices attached hereto, and the Services are subject to the terms and limitations set forth in *Appendix 3 – Certain terms of engagement*.

Neither Consultant nor this written communication will express an opinion or any other form of assurance with respect to any matters as a result of the performance of the Services, including, without limitation, concerning the feasibility or achievability of any forward-looking information.

This written communication may not encompass all communications, whether in writing or otherwise, made by Consultant to Client in connection with the Services or the Proposed Transaction. Other factors not discussed or referred to in this written communication should be considered in evaluating the merits of the Proposed Transaction, including, among other things, the consideration to be paid and the future operations or prospects of the Company.

This written communication was prepared solely for Client's benefit, has been prepared based on management representations and information provided by management and is not intended to be relied upon by any other person or entity. Neither the Services, nor this written communication, may be disclosed to any person or entity other than Client, or in any written materials related to the Proposed Transaction, including, without limitation, any publicly filed documents, without our prior written consent.

The observations described in this written communication do not constitute in any way a recommendation by us for Client or any other person or entity to participate in the Proposed Transaction or any related transaction and are not part of or being made available in connection with any prospectus, offering circular, or otherwise part of any soliciting, promoting, marketing, underwriting, recommending, or selling of securities or other interests.

This written communication is solely for CMLS Financial Solutions Inc.'s benefit, and is not intended to be relied upon by any other person or entity.

Scope and basis

Issue focus

This written communication focuses on those matters that, based on Consultant's discussions with Client and the scope of Services, Consultant believes would be of significance or interest to Client or might warrant further consideration by Client.

Access and scope limitations

See *Appendix 2 – Scope exclusions and limitations* for a description of services that were specifically excluded from the scope of our engagement and scope limitations.

Period of services

Our findings and observations are based on financial and other information through September 30, 2023, unless otherwise noted. Significant events and circumstances affecting such information may have occurred since this date and such events or circumstances might be considered material by Client or any third party. We have no responsibility for performing any services or procedures beyond those agreed to with Client, or for updating the Services.

Areas of focus	• Quality of earnings • Income statement trending • Balance sheet analysis
Discussion with and information from	• Sandeep Manak, Chief Financial Officer • Yahel Jarus-Hakak, Director - Operations • Adam Dean, Vice President & Portfolio Manager • Sam Brown, President & Chief Executive Officer • Angela Yeung, Controller – Commercial & Corporate • James McAra, Vice President - Finance
Other sources	• Review of the auditor's working papers for the fiscal year ended December 31, 2022 • Information made available in the data room and/or provided by Client (to the extent relevant to our scope)
Other matters	• All figures presented herein are in Canadian dollars ("C\$", "CAD" or "\$", unless otherwise noted.)

Executive summary

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Executive summary | Transaction overview

The Company is a provider of real estate financial solutions and related software and services for Commercial and Residential properties

Business Overview

- Founded in 1974, CMLS Financial Solutions Inc. ("the Company") operates as an independent provider of real estate financing solutions. The Company originates, underwrites, securitizes, and services commercial and residential mortgages, in addition to providing a wide range of mortgage-related technology services across Canada.
- Headquartered in Vancouver, British Columbia, the Company operates from offices across Canada, including Calgary, Winnipeg, London, Toronto, Ottawa, Markham, Montreal, and Halifax. As of Sep-23, the Company employed 638 employees. Refer to **Exhibit E4**.
- In FY23, the Company re-arranged its operations into four major verticals – Commercial, Residential, Fund Management and Corporate.
 - **Commercial:** The Company originated \$8.3B in commercial mortgages in LTM Sep-23. Commercial mortgage products include CMHC insured, Construction, High Yield and Conventional loans, along with commercial mortgage-backed securities ("CMBS"). The National Advisory business, including the Company's partnership with Skyhawk Capital Advisors, and commercial software solutions are also included within the Commercial vertical.
 - **Residential:** The Company originated \$3.1B in residential mortgages during LTM Sep-23. Residential mortgage products are split between prime single-family (insured and uninsured) mortgages and near-prime loans under the AVEO brand. Residential software solutions are also included in the Residential vertical.
 - **Fund Management ("FM"):** AUM for the CMLS Mortgage Fund (FM's flagship offering, offering exposure to real estate private debt) increased from \$49.6M in Jan-21 to \$128M at the end of Sep-23.
 - **Corporate:** Incorporates the facilities, infrastructure, HR, finance, executive and general costs across all office sites.
- The Company has a long-standing relationship with the Crown corporation, Canada Mortgage and Housing Corporation ("CMHC"). Its contracts with CMHC include mortgage underwriting and servicing for loans, including those under the Apartment Construction Loan Program ("ACLP", formerly "RCFi") and Canada Greener Homes Loan ("CGHLI").

Commercial AUA increased by 45% to..

.. **\$26.0B** at the end of Sep-23...

compared to **\$18.0B** at the end of Mar-21.

Residential AUA increased by 46% to..

.. **\$12.8B** at the end of Sep-23..

compared to **\$8.8B** at the end of Mar-21.

Revenues increased by 43% to..

.. **\$128.9M** in LTM Sep-23...

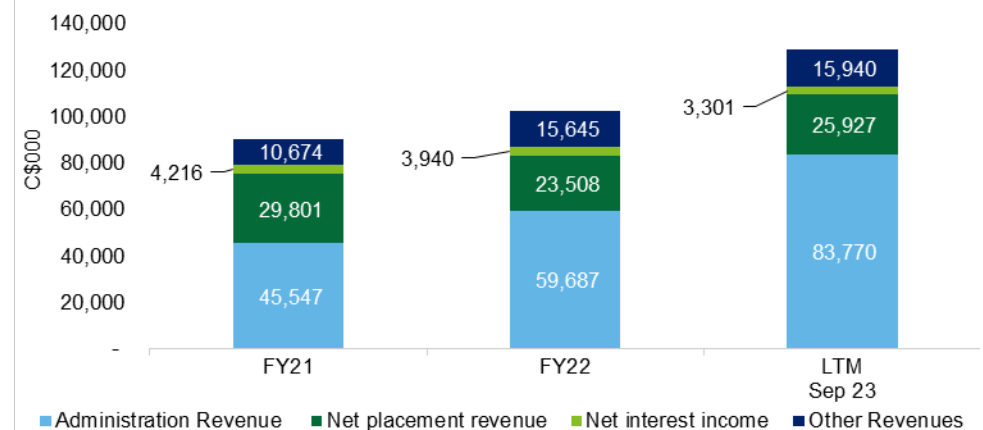
compared to **\$90.2M** in FY21.

Reported EBITDA margin decreased by 26% to..

.. **15.4%** in LTM Sep-23...

compared to **20.8%** in FY21.

Total Revenues



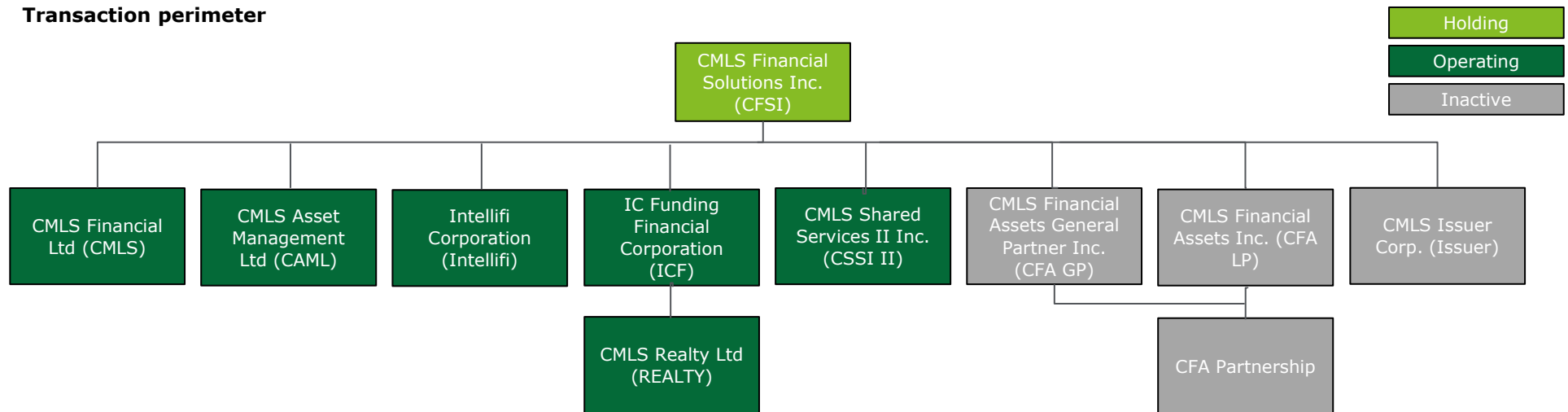
Source: Management information

Note: Other Revenues include Securitization and other income, Software Services and Realized Gain (loss) on financial instruments.

Executive summary | Transaction overview

The Company's Commercial, Residential, and Fund Management business verticals are spread across its various active operating subsidiaries, all of which are 100% owned by CMLS Financial Solutions Inc.

Transaction perimeter



CFSI: Parent / Holding company.

CMLS: Originator, underwriter, and administrator of commercial and residential mortgages. Most of the Company's operating activities flow through here.

CAML: Provides discretionary lending, sub-advisory and asset management services. Registered as a Restricted Portfolio Manager and an Exempt Market Dealer under securities legislation in BC, AB, SK, MB, ON, QC, NS, and NB. CAML is also registered as an Investment Fund Manager in BC, ON, QC, NB. This entity oversees the Fund Management vertical and is subjected to minimum working capital requirements under NI 31-103.

Intellifi (previously Delta 360 Inc.): Provides commercial and residential mortgage-related technology services, including mortgage analytics and mortgage software solutions. This entity manages several proprietary software platforms, which are further described in the **Accounting Policies** section. Intellifi obtained CMHC approved lender status in Oct-23 and is responsible for administering the CGHLI program on behalf of CMHC (including adjudicating & funding loans). Key third-party clients include direct-to-consumer lenders, credit unions, Schedule 1 banks and government entities.

ICF and REALTY: The Company acquired ICF in 2019 primarily for the realty license; REALTY is registered as a realty broker in BC, ON and QC. While the Company rarely engages in realty activities, ICF and its realty license remains active. A portion of the Company's National Advisory business flows through REALTY. Management intends for these entities to remain active going forward. The Company's equity interest in Skyhawk Capital is held through ICF. The Company subscribed for US\$600K of LP units in Skyhawk. As of Jan-24, the Company has funded US\$300K based on capital calls to-date. Once the commitment is fully funded, the Company will have a 10% equity interest.

CSSI II: Created for tax planning purposes to facilitate the Company's purchases of ParentCo shares from active and retired employee shareholders.

Inactive companies: CFA GP was intended to warehouse commercial loans for securitization. CFA GP and Issuer collaborated on a single transaction where CMBS certificates were issued, but due to the lack of subsequent activity, the CFA entities and Issuer were eventually designated as inactive. Management indicated that the CFA entities can be fully shut down if required, although Issuer remains the authorized issuer on the CMBS certificates.



Executive summary | Accounting and financial reporting

The Company transitioned from ASPE to IFRS beginning Jan-21

Overview of accounting and finance function

- A single finance team for all businesses is led by the CFO, Sandeep Manak, and is comprised of 39 individuals (including 2 focused on compliance) operating out of Toronto, Vancouver, and Calgary. The team manages day-to-day accounting and finance responsibilities, including the consolidation process.
- Monthly financial statements and internal reporting packages undergo a detailed review and variance analysis process that involves the Finance Manager – Residential; Finance Manager – Commercial; Finance Manager – Fund Management; VP Finance; Controller – Residential; Controller – Corporate; Director of Finance, Residential; Director of Finance, Commercial; CFO; CEO; Executive Chair and the two SVP's for Commercial and Residential operations.
- The Company transitioned from ASPE to IFRS effective Jan-21. No accounting policy changes were made during the Historical Period. All material accruals are recorded on a monthly basis; however, we highlight that prior to FY22, net interest income was recorded on a quarterly basis, which impacts any monthly analysis on net interest margins for FY21.
- The Company switched to its current auditors (KPMG) in FY22. Audited financial statements are prepared on an annual basis for CFSI (on a consolidated basis), and on a standalone basis for CMLS, CAML, and Intellifi. Realty's financial statements are reviewed. The Company's year-end is December 31.
- Month-end close is typically completed within 10 days, while year-end close is typically completed in 15 days. Annual bonuses for non-executive employees are accrued monthly and trued-up at year-end once actual results are finalized and paid out in February of the following fiscal year. Executive employees receive their bonuses quarterly.
- The Company's 8-person treasury and trust payments team facilitates the flow of funds between investors and borrowers.

Software systems in use

- The Company's financial records are maintained using Microsoft Business Central, which also generates consolidated packages, reports, and budgets. Ultipro is used for payroll and talent management.
- The Company uses Precision LM for commercial servicing. The rest of the residential and commercial mortgage operations are managed via proprietary systems. LMS 360 is the in-house software platform for residential originations, underwriting and servicing. Atlas is the in-house software for commercial origination and underwriting, and Target is the proprietary software for portfolio management. The operational systems do not directly interface with Microsoft Business Central, so manual journal entries are required.
- The Company completed an upgrade of its systems from Microsoft Dynamics to Microsoft Business Central in Nov-23, in order to provide a more advanced platform that can integrate with additional tools, such as PowerBI.



Executive summary | Accounting Policies

The Company earns administration revenues primarily from its loan servicing, underwriting, adjudication, and mortgage analytics offerings

Administration Revenues (\$83.8M in LTM Sep-23)

Description

- Comprises various revenue streams across the Company's subsidiaries such as servicing fees, underwriting fees, adjudication & program revenues, asset management fees, mortgage analytics revenues and Intellifi underwriting revenues.
- Underwriting ("UW") revenues** (\$35.1M in LTM Sep-23) pertain to UW activities, where the Company neither originated nor services the loan. Included within here is underwriting revenue earned under the CMHC programs, ACLP and CGHLI. Underwriting fees are typically charged per application (whether declined or approved) and may be tiered based on loan size.
- Servicing fees** (\$32.7M in LTM Sep-23) are calculated on a variable bps basis for both commercial and residential mortgages as follows:
 - Servicing fee – Direct* are earned on mortgages originated by the Company. These fees are earned from investors for loan servicing, including collecting principal and interest (P&I), remitting P&I to investors, collecting taxes, and managing delinquencies/defaults. Servicing revenues earned on CGHLI loans are also included here. CGHLI servicing fees are tier-based and based on the count of loans serviced.
 - Servicing fee – Third Party* are similar to the category described above, but for mortgages that are directly funded by a third-party lender and not originated by CMLS. Servicing revenues earned on ACLP (formerly RCFI) loans are included here and are earned via the variable bps fee structure.
- Program fees** (\$8.4M in LTM Sep-23) are investor-paid origination fees as part of the Company's program to administer and pool mortgages. Program fees can be charged either upfront or over time on a fixed or variable bps basis calculated monthly on a loan's outstanding balance.
- Mortgage analytics revenues** (\$4.2M in LTM Sep-23) are earned from valuations/pricing work and risk ratings services. The former is charged based on portfolio size, while the latter is charged based on the number of files worked.
- Asset management fees** (\$1M in LTM Sep-23) are management and sub-advisory fees that are charged on a bps basis on managed AUM & AUA. Each class of unitholders is charged its own contracted bps management fee with a corresponding management fee rebate, if applicable.

Accounting Treatment

- Servicing fees** are recognized over the term for which the Company continues to service the loan. These fees are invoiced and collected monthly, typically by "clipping" payments from borrowers before remitting the net amount to investors.
- As servicing arrangements are treated as executory contracts, the Company does not typically recognize an associated servicing asset or liability. Deferred servicing fees are only recognized for multi-family securitizations.
- Program fees** are collected via deal flow (e.g. investor pays upfront when funds are called or are clipped over time from monthly coupons, dependent on arrangement)
- Any servicing income related to derecognized securitized mortgages is recognized on the P&L over the term of the mortgage.
- All other admin revenues are recognized into income at the point when the work has been performed and performance obligations have been fulfilled.

Executive summary | Accounting Policies

The Company earns interest income from its pool of MBS and charges placement fees on loans that it funds, refinances, renews or advises on

Description

Placement Fee Revenues (\$25.9M in LTM Sep-23, net)

- Origination/underwriting and commitment fees earned on the placement of both Commercial and Residential mortgages with institutional investors and third-party entities.
- Fees are incurred via three main sub-streams:
 - *New – Direct*: pertains to new and refinanced loans that the Company originates and will service. Refinanced loans are recorded as a new loan and typically result in higher loan amounts than the original loan. The Company issues a commitment letter for direct loans.
 - *New – Flow Through*: new loans that CMLS will not service. No commitment letters are issued for these. The Company acts solely as an advisor/intermediary on flow through deals.
 - *Renewals – Direct*: existing loans that have been renewed (i.e., term extended) with the Company. Fees earned are typically lower on a bps basis than upfront originations because placement expenses are substantially lower. Fees are also only earned on the extended term, not the full term.
- Other revenue items recorded in this line include fees for lost deals that have fallen through, application revenues, and miscellaneous fees such as assumption fees, which occur when a mortgage is transferred between holders.

Net Interest Income (\$3.3M in LTM Sep-23)

- Interest revenue earned on the Company's mortgage-backed securities (MBS), asset-backed commercial paper (ABCP) and non-securitized, on-balance sheet mortgages.
- Revenue is recorded net of securitized interest expense, and interest & fees on the warehouse facility.
- Amortization of premiums/discounts on securitization and securitization gains/losses are also recorded here.

Accounting Treatment

- Dependent on the subsequent measurement category of related mortgages and the timing of when performance obligations are satisfied
 - For mortgage commitments transferred to a third party prior to funding: placement fees are recognized at time of funding or loan's adjudication
 - For mortgages subsequently measured at amortized cost or FVOCI: placement fees are incorporated as part an adjustment to the effective interest rate and recognized over time as part of net interest income until mortgage expiry or derecognition
 - For mortgages subsequently measured at FVTPL: amounts received in excess of mortgage principal are recognized as revenue at time of placement
- Placement fees are classified as either upfront or deferred for the various loan categories, and this is typically negotiated with investors. Deferred placement fees are still recorded as revenue upon deal funding, but there is a receivable and amounts are collected over time.
- Placement fees are recorded net of placement costs.
- Application revenues also include borrower-paid fees that are also recognized on the date of renewal/funding. Refer to the **Consolidated P&L** section for details.
- Pre-FY22, NIM was recorded quarterly. NIM is recorded on a monthly cadence from Jan-22 onwards.
- Interest income and expense are recognized on an accrual basis in the period in which they accrue.
- Amortization of premiums/discounts are recorded in the period incurred.

Executive summary | Accounting Policies

The Company earns fixed, variable and one-time fees from providing access to its residential and commercial software platforms

Description

Software Service Revenues (\$5.2M in LTM Sep-23)

- Primarily consists of fees generated from Intellifi's software licenses, consulting & support, implementation/setup, and SaaS revenues.
- License & maintenance fees** (\$2.3M in LTM Sep-23) primarily relate to Residential software platforms and are charged on either a fixed fee or a usage-basis royalty subject to an annual minimum or maximum; contract structures are negotiated with each customer. Fees are charged under single-year, multi-year, or perpetual arrangements where the stand-alone price of license & maintenance services are separately determinable.
- Consulting & support fees** (\$1.9M in LTM Sep-23) comprise revenues from change request work performed and billable support services that are charged hourly (i.e., time and materials basis).
- SaaS revenues** (\$672K in LTM Sep-23) typically relate to the Commercial software platforms and are earned from contract agreements granting a renewable, non-exclusive, royalty-free license to access and use services over a given term. Contracts comprise an annual fixed charge (\$10K for each increment of ten authorized users) and a tiered fee based on either volumes or a set bps of the outstanding principal balance of the customer's mortgage portfolio.
- Implementation/setup fees** (\$268K in LTM Sep-23) are generally one-time fees that are billed upon achieving specified milestones.
- Residential software includes:
 - LM360 (proprietary) for mortgage underwriting and servicing; this software is also licensed to third-party lenders
 - Crystal (proprietary) for automated adjudication; Management intends to replace LM 360's underwriting module with Crystal
 - CAT (proprietary) for allocating mortgages to investors based on individual mortgage characteristics and investor preferences
 - Jade (third-party) which is a Residential business software to support LMS360. Jade licenses are purchased from an external vendor and charged to customers at a mark-up.
- Commercial software includes Target Asset Management and Atlas Underwriting, both of which are proprietary.

Accounting Treatment

- License fees** and minimum royalty guarantees are recognized upfront upon transfer of IP control from the Company to the licensee.
 - The usage-based royalty in excess of the minimum royalty guarantee will be recognized as revenue in the month that the customer volumes are funded.
- Certain **license fees** that are recognized upfront are calculated using the present value of monthly minimum amounts, while maintenance revenues are recognized over the term of the arrangement.
- Consulting and support revenues** are recognized as services are performed.
- For **SaaS revenues**, the bps fee is recognized over the contract term, while the annual fixed charge is recognized annually upfront.
- Implementation/setup fees** are generally deferred and are billed & recognized on a milestones-basis.

Executive summary | Accounting Policies

Mortgage receivables on the Company's balance sheet largely pertain to securitized residential mortgages, although a small portion relate to residential mortgages accumulated for sale or securitization

Mortgage and loans receivables (\$593.8M as of Sep-23)

Description

- Balances relate to the Company's origination activities and pertains to four broad categories:
 - Securitized mortgages, which are measured at amortized cost and remain on the balance sheet until maturity.
 - Mortgages accumulated for securitization, which are treated under a hold-to-collect business model;
 - Mortgages accumulated for sale, which are treated under a hold-to-sell business model and derecognized through whole loan sales or eligible securitization transactions; and
 - Mortgages accumulated for sale or securitization (no mortgages funded after FY20 are classified on this basis), where the transfer strategy has not been finalized at the time of funding - thus, the business model is both hold-to-collect and hold-to-sell.
- Certain insured mortgages are securitized by the Company through the CMHC National Housing Act ("NHA") MBS program. These NHA MBS are then subsequently sold to either Canada Housing Trust (CHT) via the Canada Mortgage Bond ("CMB") program or to other third-party investors.
- Certain uninsured mortgages were also securitized by the Company through a multi-seller ABCP conduit sponsored and administered by a Canadian chartered bank. The Company provided cash as collateral and serviced these securitized loans. This program was wound down in Sep-23.
- The Company engages in servicing arrangements following whole-loan sales. These servicing arrangements are treated as executory contracts; hence, no servicing asset or liability is recognized.

Accounting Treatment

- Receivables for securitized mortgages are measured at FVOCI or amortized cost
- Receivables for mortgages accumulated for securitization are measured at amortized cost
- Receivables for mortgages accumulated for sale are measured at FVTPL
- Receivables for mortgages accumulated for sale or securitization are measured at FVOCI
- Accounting treatment can vary for the securitized insured mortgages, depending on whether or not the underlying mortgages are open to prepayment. Residential mortgages are typically open, while commercial mortgages, in practice, are typically closed. Securitized mortgages, where the Company is substantively risk-free as per the terms and conditions, are derecognized from the balance sheet. If the Company remains exposed to variability in the excess spread, risks and rewards are not fully transferred and the underlying mortgages with the corresponding debt remain on the balance sheet.
- For uninsured mortgages that are securitized, the Company continues to recognize the mortgages and corresponding debt on its balance sheet due to its role as servicer and provider of collateral (i.e., risk and rewards are not fully transferred).
- Mortgages sold to third party investors are derecognized from the balance sheet, as all risks and rewards have been substantially transferred and the Company is no longer responsible for subsequent credit or fair value losses.

Quality of earnings

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Quality of earnings | Normalized EBITDA

The Company's pro forma adjusted EBITDA in LTM Sep-23 was \$25.7M (20.0% margin)

Normalized EBITDA - Consolidated

C\$000	FY21	FY22	LTM Sep 23
Revenue, reported	90,238	102,780	128,938
Total diligence adjustments	(185)	(104)	54
Diligence adjusted revenue	90,053	102,677	128,993
Total Pro-forma adjustments	(723)	(1,557)	(309)
Pro-forma adjusted revenue	89,329	101,120	128,684
Net income	10,354	5,533	8,468
Net financing interest expense	929	1,084	1,551
Amortization	3,593	3,752	4,427
Tax	3,921	2,371	5,470
Reported EBITDA	18,797	12,740	19,916
Total diligence adjustments	15	1,435	4,177
Diligence adjusted EBITDA	18,812	14,175	24,093
Total Pro-forma adjustments	2,352	4,175	1,653
Pro-forma adjusted EBITDA	21,164	18,350	25,745
<u>As a % of revenue</u>			
Reported EBITDA	20.8%	12.4%	15.4%
Diligence adjusted EBITDA	20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA	23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Basis of preparation

The adjacent table presents the Company's reported EBITDA for FY21, FY22, and LTM Sep-23, adjustments arising from due diligence, as well as pro forma adjustments.

Reported EBITDA represents the consolidated results of the Company, including the accounts of CFSI, CMLS, CAML, Delta (Intellifi), ICF and ICR, net of any intercompany eliminations identified. Reported figures have been sourced from the Company's monthly trial balances. Refer to **Exhibits E1 and E2** for a reconciliation of the trial balances to the audited FS and internal FS. Refer to the accompanying databook for a more detailed build-up of the consolidated income statement. Amounts were agreed to the TB and supporting GL details or invoices where applicable.

Refer to the following pages for further details of adjustments and other considerations identified through our analysis. Reported revenues are impacted by EBITDA Adj's 5c, 8a, 10a, 12, 21 and 26. The recasted P&L can be found in **Exhibit E9**.

Normalized EBITDA limitations

Our services with respect to normalized EBITDA consisted solely of assisting the Client in the identification, documentation and accumulation of potential adjustments. Because there is no authoritative literature or common standard with respect to the calculation of normalized EBITDA, there is no basis to state whether all appropriate and comparable adjustments have been identified. In addition, while certain adjustments may reflect the elimination of unusual or non-recurring revenues or expenses, future periods may include revenues or expenses that would also be considered unusual or non-recurring. We have made the following EBITDA adjustment types:

Normalization/diligence adjustments - Reflects the impact of various historical normalization items that impacted the reported results over the Historical Period.

Pro forma adjustments - Reflects the run-rate impact of certain forward-looking recent or pending events or circumstances that could impact the financial results and EBITDA on a go-forward basis.

Quality of earnings | Normalized EBITDA

Financing interest expense pertaining to the Company's operating LoC, note payable and ROU lease liabilities is removed from EBITDA along with interest income earned on operating cash balances

Normalized EBITDA - Consolidated

C\$000	FY21	FY22	LTM Sep 23
Revenue, reported	90,238	102,780	128,938
Net income	10,354	5,533	8,468
Net financing interest expense	929	1,084	1,551
Amortization	3,593	3,752	4,427
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Pro-forma adjusted EBITDA	21,164	18,350	25,745
<i>As a % of revenue</i>			
Reported EBITDA	20.8%	12.4%	15.4%
Diligence adjusted EBITDA	20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA	23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Net financing interest expense

C\$000	FY21	FY22	LTM Sep 23
Financing & transactions costs	323	354	311
Right-of-use liability - interest	506	684	1,096
Loan interest Expense - Note payable	125	84	235
Interest expense	953	1,122	1,642
Interest income on operating bank account balances	(24)	(39)	(90)
Net financing interest expense	929	1,084	1,551

Source: Management information and Deloitte analysis

Net Operating Interest Expense (included in EBITDA)

C\$000	FY21	FY22	LTM Sep 23
Bank and Other Interest Income	630	2,336	5,501
Interest revenue – mortgages	25,144	19,416	17,988
Interest expense – mortgages	(20,928)	(15,475)	(14,687)
Interest Income - Restricted Cash	3	30	65
Net Operating Interest Expense	4,849	6,306	8,866

This written communication is solely for CMLS Financial Solutions Inc.'s benefit, and is not intended to be relied upon by any other person or entity.

Project Gamma | DRAFT Financial Due Diligence Report | February 8, 2024

Definitional adjustments

- **Net financing interest expense:** Comprises the interest expense and interest income amounts shown in the breakout table directly below. Financing and transaction costs relate to the Company's operating line of credit (LoC). The operating LoC and promissory notes payable pertain to the Company's operations only and are not associated with debt relating to securitizations or lending activities which is operational (not financing) in nature. Similarly, interest income being removed from EBITDA pertain to operating cash balances only.

Interest income & expenses related to securitization & lending activities were deemed operational in nature and have not been removed from EBITDA. This includes interest income earned on cash held in trust for third parties, which primarily makes up the "Bank and Other Interest Income" line in the second breakout table on the bottom left. Cash held in trust for third parties that pertains to on-balance sheet mortgages is classified as restricted cash on the balance sheet. Other cash or term deposit balances held in trust are not recorded on the balance sheet.

- **Tax:** Includes current and deferred tax expenses, as reported on the consolidated P&L.
- **Depreciation & amortization:** Includes amortization on equipment and leaseholds, intangible assets, goodwill, and right-of-use (ROU) assets, as well as post-close adjustments. The post-close adjustments (\$229K in LTM Sep-23) relate to the acquisition of ICF several years ago for which the SPA included a provision for additional contingent consideration in the form of additional CFSI equity. On the acquisition date, Management assessed the possibility of ICF meeting certain contingencies as remote, so the fair value of the applicable contingent consideration (bonus shares) was measured at zero. This fair value was remeasured at each reporting date, with any changes recorded in the income statement as part of amortization costs.

Quality of earnings | Normalized EBITDA

The Company overhauled its organizational structure in the Historical Period, resulting in \$2.9M of one-time severance paid in the LTM Sep-23 period

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
<i>Diligence adjustments</i>				
Intellifi Restructuring	1a	-	-	863
Commercial & Corporate restructuring	1b	-	1,600	2,021
Severance	1	-	1,600	2,883
(Gain)/loss on FI - shares	2a	(75)	-	-
Dividend expense	2b	133	-	-
Forex (gain)/loss	2c	(2)	6	7
FV gain/loss - Mortgages	2d	385	400	495
Gain on sales	2e	-	-	(5)
Loss from sublease	2f	-	-	118
Stock option expense - Intellifi	2g	-	706	1,871
Unrealized (gain)/loss on FI	2h	(331)	(573)	(138)
Insurance - Shareholders	2i	136	125	105
Donations	2j	127	111	134
Directors' Remuneration	2k	85	120	166
Non-operating P&L income/expense	2	459	896	2,754
One-time / non-recurring professional expenses	3	471	580	556
Stock Based Compensation	4	217	69	155
One-time/Non-recurring items - Intellifi	5	(0)	(122)	102
One-time bad debt expense	6	-	-	63
CRM implementation	7	16	14	39
Discontinued service offering - Insurance Premium	8	(35)	(0)	34
Residential origination platform	9	-	-	22
Unadjusted Items	10	-	82	60
Facilities Software (COVID) Expense	11	6	11	7
One-time other income	12	(150)	-	-
Banking fees	13	-	-	247
Removal of third-party Crystal charges	14	532	359	(38)
Executive vacancy	15	-	-	(123)
Out-of-period adjustments	16	43	(85)	(261)
Net cash outflow from leases	17	(1,543)	(1,966)	(2,325)
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745

Source: Management information and Deloitte analysis

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Project Gamma | DRAFT Financial Due Diligence Report | February 8, 2024

Diligence adjustments

- 1a **Intellifi Restructuring:** Removes the severance costs for both employees and executives resulting from the restructuring of Intellifi in Apr-23 and May-23. Amounts were traced to payroll GL support figures provided by Management. Refer to Adj 18 for a related adjustment on pro forma payroll savings.
- 1b **Commercial & Corporate restructuring:** In FY22, the Company undertook certain restructuring activities and reduced its headcount across multiple verticals as it re-aligned its business verticals to more closely match its priority growth areas (e.g., growing advisory business, winding down SLG activities). This adjustment removes the severance costs recorded in FY22 and FY23 for the affected executives and employees. Severance costs from Intellifi's restructuring are not duplicated here. Amounts were cross-checked to figures recorded on the payroll GL. For positions that were not replaced, payroll savings have been added back as a pro forma adjustment (see Adj 18). Refer to Adj 15 for a related item on vacant positions.
- 2a **(Gain)/loss on FI – shares:** The Company issued shares in escrow to sellers of ICF (IC Funding Financial Corporation) in Apr-19. Prior to release of these shares in Jun-21, the Company recorded a MTM \$75k gain. The shares were released upon meeting certain escrow release requirements. This adjustment removes this non-operating gain from EBITDA.
- 2b **Dividend expense:** Removes non-operating costs pertaining to escrow shares issued to sellers of ICF. All dividends relating to the shares in escrow were expensed. These escrow shares were all released by Jun-21.
- 2c **Forex (gain)/loss:** Removes non-operating FX gains and losses, as identified on the reported P&L. These were deemed non-operational. The majority of the Company's operations are domiciled in Canada.

Quality of earnings | Normalized EBITDA

Non-operating items include a one-time payment of \$1.9M to cancel the Intellifi stock option plan in Jul-23

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
<u>Diligence adjustments</u>				
Severance	1	-	1,600	2,883
(Gain)/loss on FI - shares	2a	(75)	-	-
Dividend expense	2b	133	-	-
Forex (gain)/loss	2c	(2)	6	7
FV gain/loss - Mortgages	2d	385	400	495
Gain on sales	2e	-	-	(5)
Loss from sublease	2f	-	-	118
Stock option expense - Intellifi	2g	-	706	1,871
Unrealized (gain)/loss on FI	2h	(331)	(573)	(138)
Insurance - Shareholders	2i	136	125	105
Donations	2j	127	111	134
Directors' Remuneration	2k	85	120	166
Non-operating P&L income/expense	2	459	896	2,754
One-time / non-recurring professional expenses	3	471	580	556
Stock Based Compensation	4	217	69	155
One-time/Non-recurring items - Intellifi	5	(0)	(122)	102
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Discontinued service offering - Insurance Premium	8	(35)	(0)	34
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Banking fees	13	-	-	247
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Out-of-period adjustments	16	43	(85)	(261)
Net cash outflow from leases	17	(1,543)	(1,966)	(2,325)
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745

Source: Management information and Deloitte analysis

Diligence adjustments

- 2d FV gain/loss – Mortgages (unrealized):** Removes unrealized FV gains/losses on mortgages held and securitization transactions measured at FVTPL. Fair values of mortgages and securitization receivables are impacted by changes in interest rates, resulting in unrealized losses in the Historical Period as interest rates rose.
- 2e Gain on sales:** In FY22, CMLS Financial Ltd. sold and transferred certain assets relating to its commercial mortgage analytics and software business to Intellifi. This was a related party transaction but not eliminated on consolidation. The transaction was measured at fair market value. This adjustment removes the realized gain on sale, which is not considered part of normal course of operations.
- 2f Loss from sublease:** Removes non-operating losses incurred by the Company for a sublease arrangement. Under IFRS 16, when a sublease agreement is entered into, the original finance lease asset is derecognized and the present value of the sublease payments is recognized as a sublease asset. The difference in asset values is recorded through the P&L.
- 2g Stock option expense – Intellifi:** Removes the expenses for the Intellifi stock option plan, which was cancelled in Jul-23, leading to a payout of amounts owing for impacted staff and a conversion to CFSI options for affected senior management individuals. The associated costs for this plan are hence removed from EBITDA. See Adj 4 for a related adjustment.
- 2h Unrealized (gain)/loss on FI:** Removes unrealized gains/losses associated with derivatives that are measured under FVTPL. These include bond forward contracts that are used for hedging but not designated in a qualifying hedging relationship.
- 2i Insurance - Shareholders:** Removes life insurance premiums for coverage on significant shareholders. The Company is the beneficiary on these policies to ensure there is liquidity to buy back shares in case of a shareholder death. This amount is deemed non-operational.

Quality of earnings | Normalized EBITDA

The Company incurred various one-time legal expenses relating to the spinout and restructuring of Intellifi

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
<u>Diligence adjustments</u>				
Severance	1	-	1,600	2,883
(Gain)/loss on FI - shares	2a	(75)	-	-
Dividend expense	2b	133	-	-
Forex (gain)/loss	2c	(2)	6	7
FV gain/loss - Mortgages	2d	385	400	495
Gain on sales	2e	-	-	(5)
Loss from sublease	2f	-	-	118
Stock option expense - Intellifi	2g	-	706	1,871
Unrealized (gain)/loss on FI	2h	(331)	(573)	(138)
Insurance - Shareholders	2i	136	125	105
Donations	2j	127	111	134
Directors' Remuneration	2k	85	120	166
Non-operating P&L income/expense	2	459	896	2,754
Legal (Intellifi spin-out)	3a	-	404	39
Legal (MAG/BPO re-organization)	3b	18	-	-
Legal (Project Alpha/Beta)	3c	-	-	10
Legal (Non-recurring shareholder expenses)	3d	-	3	20
Legal (CMHC Approved Lender status)	3e	-	29	28
Unused legal retainer	3f	-	27	23
Accounting advisory (IFRS transition)	3g	380	-	-
Audit (non-recurring)	3h	-	-	50
Consulting (Project Alpha/Beta)	3i	-	-	254
Consulting (Account system conversion)	3j	-	-	132
Consulting (CBRE - Return to Office)	3k	68	44	-
Consulting (MAG/BPO valuation)	3l	5	14	-
Consulting (Strategic option analysis)	3m	-	54	-
Consulting (Project Monarch)	3n	-	6	-
One-time / non-recurring professional expenses	3	471	580	556
Adj's #4 - 17		(915)	(1,640)	(2,016)
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745

Source: Management information and Deloitte analysis

Diligence adjustments

- 2j **Donations:** Removes charitable donations made by the Company during the Historical Period as these are discretionary in nature.
- 2k **Directors' Remuneration:** Removes the fees paid to the external Board directors as these are non-operational in nature.
- 3a **Legal (Intellifi spin-out):** Removes the one-time legal expenses incurred in FY22 relating to the Intellifi spinout.
- 3b **Legal (MAG/BPO re-organization):** Removes the one-time legal expenses associated with transferring the Mortgage Analytics Group (MAG) and Business Process Outsourcing (BPO) units to the Intellifi legal entity in late FY21. A small amount was also incurred in Q4-23, after the Historical Period, when the transfer was finalized.
- 3c **Legal (Project Alpha/Beta):** Removes the one-time legal expense associated with a contemplated acquisition code-named Project Alpha/Beta in Sep-23. Refer to Adj 3i for a related adjustment.
- 3d **Legal (Non-recurring shareholder expenses):** Removes various non-recurring legal fees relating to shareholder transactions throughout the Historical Period. The transactions taken into account were CFSI - Intellifi restructuring, MAG BPO Transfers and New Option Agreements.
- 3e **Legal (CMHC Approved Lender status):** Removes the one-time legal fees associated with Intellifi obtaining its CMHC Approved Lender status in Q4-22.
- 3f **Unused legal retainer:** When Intellifi was spun out in FY22, Intellifi began using other legal service providers, thereby reducing the need for the Company to continue with its legal retainer. The Company stopped paying the retainer altogether in Dec-23. This adjustment removes the excess legal retainer amounts that were paid in FY22 and FY23 but went unallocated to business units.

Quality of earnings | Normalized EBITDA

One-time consulting fees include \$254K for a potential acquisition that did not materialize during Aug- and Sep-23

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
<u>Diligence adjustments</u>				
Severance	1	-	1,600	2,883
Non-operating P&L income/expense	2	459	896	2,754
Legal (Intellifi spin-out)	3a	-	404	39
Legal (MAG/BPO re-organization)	3b	18	-	-
Legal (Project Alpha/Beta)	3c	-	-	10
Legal (Non-recurring shareholder expenses)	3d	-	3	20
Legal (CMHC Approved Lender status)	3e	-	29	28
Unused legal retainer	3f	-	27	23
Accounting advisory (IFRS transition)	3g	380	-	-
Audit (non-recurring)	3h	-	-	50
Consulting (Project Alpha/Beta)	3i	-	-	254
Consulting (Account system conversion)	3j	-	-	132
Consulting (CBRE - Return to Office)	3k	68	44	-
Consulting (MAG/BPO valuation)	3l	5	14	-
Consulting (Strategic option analysis)	3m	-	54	-
Consulting (Project Monarch)	3n	-	6	-
One-time / non-recurring professional expenses	3	471	580	556
Stock Based Compensation	4	217	69	155
One-time/Non-recurring items - Intellifi	5	(0)	(122)	102
One-time bad debt expense	6	-	-	63
CRM implementation	7	16	14	39
Discontinued service offering - Insurance Premium	8	(35)	(0)	34
Residential origination platform	9	-	-	22
Unadjusted Items	10	-	82	60
Facilities Software (COVID) Expense	11	6	11	7
One-time other income	12	(150)	-	-
Banking fees	13	-	-	247
Removal of third-party Crystal charges	14	532	359	(38)
Executive vacancy	15	-	-	(123)
Out-of-period adjustments	16	43	(85)	(261)
Net cash outflow from leases	17	(1,543)	(1,966)	(2,325)
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745

Source: Management information and Deloitte analysis

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Diligence adjustments

- 3g **Accounting advisory (IFRS transition):** Removes non-recurring expenses associated with converting the Company's financial reporting standards from ASPE to IFRS during FY21. This adjustment includes both accounting advisory and audit fees associated with auditing the historical comparatives.
- 3h **Audit (non-recurring):** In Jul-23, the Company engaged a third party for a multi-year re-audit engagement of Intellifi as a requirement to obtain CMHC Approved Lender status. This adjustment removes the one-time audit fees associated with this engagement, which were originally accrued in May-23 and Jun-23.
- 3i **Consulting (Project Alpha/Beta):** Removes one-time consulting expenses associated with a potential acquisition code-named Project Alpha/Beta in Aug-23 and Sep-23 when they were originally accrued.
- 3j **Consulting (Account system conversion):** Removes the one-time consulting expenses incurred to support the upgrade of the Company's ERP from Microsoft Navision ("NAV") to 365 Business Central. The upgrade was completed in Nov-23. See Adj 22 for a related adjustment.
- 3k **Consulting (CBRE - Return to Office):** Removes one-time consulting costs paid to CBRE during late FY21 and early FY22 for an engagement to develop a return-to-office strategy.
- 3l **Consulting (MAG/BPO valuation):** Between the end of 2021 and beginning of 2022, the Company engaged a third-party consultant to conduct a valuation of the Mortgage Analytics Group (MAG) and Business Process Outsourcing (BPO) operations. This adjustment removes the one-time costs associated with this engagement.

Quality of earnings | Normalized EBITDA

An adjustment is made to remove a one-time \$185K incentive received from the CGHLI program in FY22

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
<u>Diligence adjustments</u>				
Severance	1	-	1,600	2,883
Non-operating P&L income/expense	2	459	896	2,754
Legal (Intellifi spin-out)	3a	-	404	39
Legal (MAG/BPO re-organization)	3b	18	-	-
Legal (Project Alpha/Beta)	3c	-	-	10
Legal (Non-recurring shareholder expenses)	3d	-	3	20
Legal (CMHC Approved Lender status)	3e	-	29	28
Unused legal retainer	3f	-	27	23
Accounting advisory (IFRS transition)	3g	380	-	-
Audit (non-recurring)	3h	-	-	50
Consulting (Project Alpha/Beta)	3i	-	-	254
Consulting (Account system conversion)	3j	-	-	132
Consulting (CBRE - Return to Office)	3k	68	44	-
Consulting (MAG/BPO valuation)	3l	5	14	-
Consulting (Strategic option analysis)	3m	-	54	-
Consulting (Project Monarch)	3n	-	6	-
One-time / non-recurring professional expenses	3	471	580	556
Stock Based Compensation	4	217	69	155
Intellifi website	5a	-	62	62
One-time other expenses - Intellifi	5b	(0)	1	40
One-time revenue (CMHC-CGHLI portal)	5c	-	(185)	-
One-time/Non-recurring items - Intellifi	5	(0)	(122)	102
One-time bad debt expense	6	-	-	63
Adj's #4 - 17		(1,132)	(1,587)	(2,337)
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745

Source: Management information and Deloitte analysis

Diligence adjustments

- 3m **Consulting (Strategic option analysis):** Removes one-time consulting costs paid to Deloitte in Jun-22 for an engagement to analyze the Company's strategic options.
- 3n **Consulting (Project Monarch):** Removes one-time consulting expenses associated with Project Monarch, which was a corporate restructuring project that reorganized the business into new distinct verticals.
- 4 **Stock Based Compensation:** This adjustment removes non-cash stock-based compensation (SBC) amounts reported on the Company's P&L, including amounts under the legacy Intellifi plan which was wound up. These amounts were recorded separately from the Intellifi stock option plan that was removed, as described in EBITDA Adj 2g.
- 5a **Intellifi website:** Removes the one-time costs incurred by Intellifi for building and deploying its new website in Oct-22.
- 5b **One-time other expenses – Intellifi:** Removes one-time costs for a CGHLI loan that was borne by Intellifi after the client claimed that they never received their money. This was an unusual one-time incident that was deemed not normal course.
- 5c **One-time revenue (CMHC-CGHLI portal):** Removes a one-time incentive earned by Intellifi in Aug-22 from the CMHC customer portal setup for the CGHLI program. This amount is removed from both reported revenue and EBITDA.
- 6 **One-time bad debt expense:** This adjustment removes a non-recurring bad debt expense relating to a client that went bankrupt in Apr-23. Bad debt is unusual due to the nature of the Company's operations and its client base of reputable financial institutions. Actual bad debt expense was \$33K and \$14K in FY21 and FY22, respectively. Refer to **Exhibit E6** for AR Aging details.

Quality of earnings | Normalized EBITDA

An adjustment is made to include the impact of an uncorrected audit misstatement related to interest accretion on long term placement fee receivables

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
<u>Diligence adjustments</u>				
Severance	1	-	1,600	2,883
Non-operating P&L income/expense	2	459	896	2,754
One-time / non-recurring professional expenses	3	471	580	556
Stock Based Compensation	4	217	69	155
One-time/Non-recurring items - Intellifi	5	(0)	(122)	102
One-time bad debt expense	6	-	-	63
CRM implementation	7	16	14	39
Discontinued service offering - Insurance Premium	8	(35)	(0)	34
Residential origination platform	9	-	-	22
Uncorrected FY22 Audit Misstatement	10a	-	82	20
ECL Over-Accrual, Sep-23	10b	-	-	40
Unadjusted Items	10	-	82	60
Facilities Software (COVID) Expense	11	6	11	7
One-time other income	12	(150)	-	-
Banking fees	13	-	-	247
Removal of third-party Crystal charges	14	532	359	(38)
Executive vacancy	15	-	-	(123)
Out-of-period adjustments	16	43	(85)	(261)
Net cash outflow from leases	17	(1,543)	(1,966)	(2,325)
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745
<u>As a % of revenue</u>				
Reported EBITDA		20.8%	12.4%	15.4%
Diligence adjusted EBITDA		20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA		23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Diligence adjustments

- 7 **CRM implementation:** Removes one-time costs paid to third-party consultants for the configuration and implementation of Microsoft Dynamics CRM software models/features throughout the Historical Period. This CRM is not related to the accounting ERP upgrade discussed in Adj's 3j and 22.
- 8 **Discontinued service offering - Insurance Premium:** Prior to FY22, the Company purchased bulk insurance for Bank of America on their low ratio mortgages and earned a spread from providing these insurance services. This service offering was discontinued in FY22, and this adjustment removes the revenue and the associated expenses from EBITDA (wind-up expenses were incurred in YTD-23, with no associated revenues, resulting in an addback in the LTM period).
- 9 **Residential origination platform:** This adjustment removes the FY23 software costs for the program used specifically for the origination and servicing of non-prime residential loans that largely pertain to the CMLS Mortgage Fund. Until Jan-23, expenses were charged to the Fund Management vertical, which are already accounted for under EBITDA Adj 21. The software is expected to be discontinued in Mar-24, to be replaced by the Company's in-house program, LMS 360, in Apr-24.
- 10a **Unadjusted items:** The Company did not correct a FY22 audit misstatement relating to interest accretion on long-term placement fee receivables. The present value of interest income on the placement fee receivable has not been accrued for since inception as Management considered the amount immaterial. This adjustment adjusts for the impact of the correcting entry needed.
- 10b **ECL Over-Accrual, Sep-23:** In accordance with IFRS, the Company maintains an ECL policy which is rules-based informed by the aging of receivables. While the Company experiences very little bad debt expense, there are instances when receivables become aged but are ultimately collected. At Sep-23, there was a significant aged receivable that resulted in an ECL expense. Subsequent to Sep-23, this receivable was collected and the provision was reversed in Dec-23.

Quality of earnings | Normalized EBITDA

An executive role at the Company has remained vacant since Jul-23, however, Management intends to fill the role in the future

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
<u>Diligence adjustments</u>				
Severance	1	-	1,600	2,883
Non-operating P&L income/expense	2	459	896	2,754
One-time / non-recurring professional expenses	3	471	580	556
Stock Based Compensation	4	217	69	155
One-time/Non-recurring items - Intellifi	5	(0)	(122)	102
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CRM implementation	7	16	14	39
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Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745
<u>As a % of revenue</u>				
Reported EBITDA		20.8%	12.4%	15.4%
Diligence adjusted EBITDA		20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA		23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Diligence adjustments

- 11 **Facilities Software (COVID) Expense:** Following COVID-19, the Company employed a facilities management software to enable employees to return to office with safe social distancing and contract tracing procedures. The software is no longer in use, and this adjustment removes the non-recurring software costs.
- 12 **One-time other income:** This adjustment removes a one-time vendor rebate received in Dec-21 and recorded as part of Other Income in CMLS.
- 13 **Banking fees:** This adjustment removes the non-recurring increase in bank fees charged by RBC from Jun-23 through Sep-23. During this period, the Company was being charged higher wire fees for CGHLI transfers but has since switched from wires to EFTs, resulting in lower go-forward costs. This adjustment is not applicable to prior periods as RBC was inadvertently charging the Company EFT rates for wire transfers. Intellifi's banking fees as a percentage of CMHC underwriting revenues from Jun-22 to May-23 (when the go-forward rate was in effect) were used to quantify this adjustment.
- 14 **Removal of third-party Crystal charges:** In Sep-22, Intellifi acquired the Crystal software IP for cash and shares. Prior to the acquisition, the Company was paying Crystal's owners for software access. Post acquisition, the only expenses related to Crystal are intercompany charges that are eliminated upon consolidation. As a result, this adjustment eliminates the charges paid to a third party prior to the IP acquisition.
- 15 **Executive vacancy:** As part of the re-organization described in Adj 1b, an executive (Exec #4 in supporting schedules provided) was terminated, with severance paid out in Jun-23. Management intends to replace the role, but the position has been vacant since the executive's departure and was still unfilled as of Jan-24. This adjustment adds in the monthly cost of the executive's salary during the vacancy period from Jul-23 to Sep-23.

Quality of earnings | Normalized EBITDA

The Company added new office leases in the Historical Period, resulting in higher cash lease costs in LTM Sep-23

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
<u>Diligence adjustments</u>				
Severance	1	-	1,600	2,883
Non-operating P&L income/expense	2	459	896	2,754
One-time / non-recurring professional expenses	3	471	580	556
Stock Based Compensation	4	217	69	155
One-time/Non-recurring items - Intellifi	5	(0)	(122)	102
One-time bad debt expense	6	-	-	63
CRM implementation	7	16	14	39
Discontinued service offering - Insurance Premium	8	(35)	(0)	34
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Facilities Software (COVID) Expense	11	6	11	7
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Removal of third-party Crystal charges	14	532	359	(38)
Executive vacancy	15	-	-	(123)
Benefit true-up	16a	-	-	353
Bonus true up	16b	0	-	(529)
Property costs, credit memo	16c	43	(85)	(85)
Out-of-period adjustments	16	43	(85)	(261)
Net cash outflow from leases	17	(1,543)	(1,966)	(2,325)
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745
<u>As a % of revenue</u>				
Reported EBITDA		20.8%	12.4%	15.4%
Diligence adjusted EBITDA		20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA		23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Diligence adjustments

- 16a **Benefit true-up:** The Company accrues for payroll benefits monthly and makes year-end adjustments when actual benefit claims are finalized for the FY. This adjustment allocates a material year-end true-up made in Dec-22 evenly across FY22.
- 16b **Bonus true up:** The Company accrues bonuses throughout the year for its employee groups according to budgeted targets, with a true-up adjustment made at year-end upon Management's approval of the amount to be paid. This adjustment reallocates the year-end true-up evenly throughout the fiscal year for both FY21 and FY22.
- 16c **Property costs, credit memo:** In Dec-22, the Company received an \$85K credit memo after its landlord made a year-end adjustment for an overpayment of amounts during 2020 and 2021. This adjustment reallocates the credit evenly across the appropriate period.
- 17 **Net cash outflow from leases:** This adjustment deducts the actual cash outflows associated with the Company's lease obligations (i.e., cash lease costs) during the Historical Period as reported EBITDA is not fully burdened with occupancy costs, as lease payments are recorded as interest & depreciation expenses in accordance with IFRS 16.

This amount excludes expenses related to variable lease payments which are recorded separately in other trial balance accounts above the line for EBITDA. The variable lease payments includes items such as utilities, property tax, various one-time rent adjustments and lease inducements. The Company added a new lease for its Vancouver office which started in Jun-23. The adjustment also does not include amounts related to short-term and low-value leases (e.g., photocopiers, equipment, etc.).

Quality of earnings | Normalized EBITDA

The Company revamped its organizational structure and compensation policy following its restructuring efforts, resulting in pro forma compensation savings for permanently eliminated positions

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
<i>Pro-forma adjustments</i>				
Pro Forma Payroll Savings	18	2,089	3,487	1,101
DMA program discontinuation	19a	339	423	544
Market compensation reset (DMA Replacement)	19b	(404)	(455)	(236)
DMA program termination	19	(64)	(32)	308
Hedge analytics	20	126	144	108
Department loss add-back (Fund Management)	21	523	265	68
Accounting system conversion savings	22	51	51	51
Commercial property inspection app transition	23	11	16	17
Filogix Discount	24	321	38	-
Pro forma T&E costs	25	(807)	(23)	-
Underwriting revenue - Third party	26	[+/-]	-	-
Variable Compensation	27	(167)	(33)	-
Recruitment costs	28	270	261	-
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745
<i>As a % of revenue</i>				
Reported EBITDA		20.8%	12.4%	15.4%
Diligence adjusted EBITDA		20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA		23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Pro forma adjustments

- 18 Pro Forma Payroll Savings:** Quantifies the payroll savings resulting from the restructuring efforts discussed in Adj's 1a and 1b, as some terminated roles ceased to exist under the organizational structure going forward. This adjustment removes the base salary and bonus costs for the terminated roles from the Historical Period until the month of termination. Exec #3's role did not exist prior to Intellifi's spin-off in FY22; therefore, no salary savings are added for FY21. Exec's #1 & #2 were replaced by a single individual in the Residential team structure, and the net payroll savings have been added back to the Historical Period as part of this adjustment. Figures were traced to supporting payroll documentation provided by Management.
- 19a DMA program discontinuation:** In FY23, the Company shut down a deferred market adjustment ("DMA") variable compensation program, leading to an acceleration of cash payouts in Feb-23. This pro forma adjustment removes all payouts related to the DMA program during the Historical Period from EBITDA. The program was replaced by a market compensation adjustment so that the affected employees would have a similar pay structure moving forward. See EBITDA Adj 19b for additional details. Expenses for the DMA program were recorded at time of payout.
- 19b Market compensation reset (DMA Replacement):** This pro forma adjustment is associated with Adj #19a and adjusts the historical compensation expenses to reflect the revised wages that the Company introduced in Mar-23 after the DMA program was shut down. Given that the DMA was a variable comp program, its costs as a percentage of net revenues was used to quantify the estimated impact for YTD-23 period. Management's intention is that go-forward compensation under the market comp reset would roughly reflect what employees would have received under the previous program (i.e., comp package + DMA pay).

Quality of earnings | Normalized EBITDA

The Company replaced a third-party software analytics consultant with its own in-house service, while the Fund Management business unit started achieving scale and profitability in LTM Sep-23

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
<i>Pro-forma adjustments</i>				
Pro Forma Payroll Savings	18	2,089	3,487	1,101
DMA program termination	19	(64)	(32)	308
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Commercial property inspection app transition	23	11	16	17
Filogix Discount	24	321	38	-
Pro forma T&E costs	25	(807)	(23)	-
Underwriting revenue - Third party	26	[+/-]	-	-
Variable Compensation	27	(167)	(33)	-
Recruitment costs	28	270	261	-
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745
<i>As a % of revenue</i>				
Reported EBITDA		20.8%	12.4%	15.4%
Diligence adjusted EBITDA		20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA		23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Pro forma adjustments

- 20 **Hedge analytics:** In July-23, the Company terminated its engagement of a third-party consultant for analytics software services after being able to develop its own capabilities via Intellifi. This adjustment removes the fees paid to the third-party consultant during the Historical Period. Management indicated that while there is a \$8K monthly intercompany charge from Intellifi, no incremental costs were incurred by Intellifi to provide these services.
- 21 **Department loss add-back (Fund Management):** This pro forma adjustment adds back the pre-allocation losses incurred by the Fund Management (FM) business unit in FY21 and FY22. The Company invested heavily in the business unit during these years in anticipation that the unit would scale and reach profitability in FY23, which did occur. We note that this adjustment does not account for company-wide expenses that are allocated across business verticals and is net of any other QoE adjustments to avoid double counting. FM's revenues have also been removed from pro Forma adjusted revenue.
- 22 **Accounting system conversion savings:** In Nov-23, the Company upgraded its Microsoft ERP system from Navision ("NAV") to 365 Business Central. The upgrade is expected to result in savings of c.\$4K/month. This adjustment quantifies the savings that would have resulted during the Historical Period had the Company been deploying the upgraded system since Jan-21. There was no overlap in costs for the two systems in the Historical Period as the upgrade occurred in Nov-23.
- 23 **Commercial property inspection app transition:** The Company replaced the software that facilitates property inspection reports for its commercial business operations in Sep-23. This pro forma adjustment quantifies the savings for the part of the Historical Period when the old software was deployed. The new software has a monthly charge of \$399USD, and a static exchange rate (1.39 CAD = 1 USD) is used to calculate the new normalized run rate in CAD in this analysis.

Quality of earnings | Normalized EBITDA

The Company introduced additional compensation programs in FY22, leading to a pro forma adjustment to capture the impact for the full Historical Period

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
<u>Pro-forma adjustments</u>				
Pro Forma Payroll Savings	18	2,089	3,487	1,101
DMA program termination	19	(64)	(32)	308
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Department loss add-back (Fund Management)	21	523	265	68
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Filogix Discount	24	321	38	-
Pro forma T&E costs	25	(807)	(23)	-
Underwriting revenue - Third party	26	[+/-]	-	-
Variable Compensation	27	(167)	(33)	-
Recruitment costs	28	270	261	-
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745
<u>As a % of revenue</u>				
Reported EBITDA		20.8%	12.4%	15.4%
Diligence adjusted EBITDA		20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA		23.7%	18.1%	20.0%

Source: Mangement information and Deloitte analysis

Pro forma adjustments

- 24 **Filogix Discount:** The Company negotiated a fee reduction of 1bps with one of its vendors, Filogix, which provides a mortgage application solution. This fee reduction took effect in Mar-22, prior to which the Company was paying 6.5bps on Filogix volume. This adjustment reflects the savings that would have resulted had the 5.5bps rate been applied during Jan-21 to Feb-22.
- 25 **Pro forma T&E costs:** Due to COVID-19 restrictions, the Company incurred reduced travel costs throughout FY21 and during the early part of FY22. This pro forma adjustment uses the LTM Sep-23 spend as a monthly run rate to calculate the normalized travel costs for the periods most impacted by COVID-19 restrictions. We note that the adjustment reflects the seasonality of travel costs that is typical during normal course of operations.
- 26 **Underwriting revenue - Third party:** In Aug-21,, the Company launched a new offering to underwrite loans that the Company neither originates nor services for primarily residential investors. This revenue stream experiences unpredictable volumes throughout the year and is impacted materially by interest rate changes. This unquantified pro forma adjustment highlights the additional revenue and EBITDA earned subsequent to H1-21 (Third party underwriting revenues were \$0.5M, \$2.6M, and \$1.3M in FY21, FY22, and LTM Sep-23, respectively).

Quality of earnings | Normalized EBITDA

Remaining pro forma adjustments include a modification of the Company's policy on using external recruiters

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
<u>Pro-forma adjustments</u>				
Pro Forma Payroll Savings	18	2,089	3,487	1,101
DMA program termination	19	(64)	(32)	308
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Filogix Discount	24	321	38	-
Pro forma T&E costs	25	(807)	(23)	-
Underwriting revenue - Third party	26	[+/-]	-	-
Variable Compensation	27	(167)	(33)	-
Recruitment costs	28	270	261	-
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745
<u>As a % of revenue</u>				
Reported EBITDA		20.8%	12.4%	15.4%
Diligence adjusted EBITDA		20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA		23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Pro forma adjustments

- 27 **Variable Compensation:** In Mar-22, the Company introduced a new variable compensation program for residential underwriters to increase efficiency and drive greater volume. Under the program, bonus incentives were awarded to residential underwriters based on the number of funded deals per month. This adjustment uses variable compensation as a percentage of placement revenues (application) during the LTM Sep-23 period to calculate the pro forma impact for the Jan-21 through Feb-22 period.
- 28 **Recruitment costs:** In the second half of FY22, the Company changed its recruitment policy by limiting the use of external recruiters without the express permission of the executive committee. This led to a drop in the monthly run-rate for recruitment charges starting Aug-22. As a result, this adjustment applies the lower monthly run rate to the pre-Aug-22 period.

Quality of earnings | Normalized EBITDA

The Company's National Advisory business unit is anticipated to reach profitability in FY24, after incurring losses throughout the Historical Period as it ramps up operations

Normalized EBITDA - Consolidated

C\$000	Ref.	FY21	FY22	LTM Sep 23
Reported EBITDA		18,797	12,740	19,916
Total diligence adjustments		15	1,435	4,177
Diligence adjusted EBITDA		18,812	14,175	24,093
Total Pro-forma adjustments		2,352	4,175	1,653
Pro-forma adjusted EBITDA		21,164	18,350	25,745
<u>Other matters to consider</u>				
Department loss add-back (National Advisory)	A	844	2,736	2,495
SR&ED ITC Claims	B	-	-	11
<u>As a % of revenue</u>				
Reported EBITDA		20.8%	12.4%	15.4%
Diligence adjusted EBITDA		20.9%	13.8%	18.7%
Pro-forma adjusted EBITDA		23.7%	18.1%	20.0%

Source: Management information and Deloitte analysis

Other matters to consider

- A **Department loss add-back (National Advisory):** This item highlights the pre-allocation losses incurred by the National Advisory business unit during the Historical Period. The Company invested heavily during the first few operating years of this business unit in anticipation that the unit will reach profitability in the future. The losses continued consistently throughout the Historical Period. We note that this adjustment does not account for company-wide expenses that are allocated across business verticals and is not affected by any of the QoE adjustments that have been accounted for on the EBITDA table.
- B **SR&ED ITC Claims:** The Company capitalizes eligible SR&ED expenses and has received investment tax credits (ITCs) for qualified SR&ED expenditures. The Company received \$85.5K in ITCs for FY21. No claims were made for FY22, but Management expects to make a claim for Intellifi of about \$15K. ITCs are recorded on a cash-basis, and this item highlights cash flow considerations that should be considered in the buyer's model. The claim amount is prorated for the nine months in YTD-23.

Consolidated P&L

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Consolidated P&L | Overview

Total revenues grew from \$90.2M in FY21 to \$128.9M in LTM Sep-23, largely due to an increase in administration revenues

Income statement overview | Consolidated

C\$000				As a % of revenue		
	FY21	FY22	LTM Sep 23	FY21	FY22	LTM Sep 23
Underwriting - CMHC	8,185	16,511	33,829	9.1%	16.1%	26.2%
Servicing revenues	24,290	28,720	32,664	26.9%	27.9%	25.3%
Adjudication & Program	7,089	7,085	9,677	7.9%	6.9%	7.5%
Mortgage Analytics	3,771	4,127	4,238	4.2%	4.0%	3.3%
Administration & Other	940	1,386	1,392	1.0%	1.3%	1.1%
Management Revenue	511	920	1,021	0.6%	0.9%	0.8%
Other Admin Revenues	760	937	950	0.8%	0.9%	0.7%
Administration Revenue	45,547	59,687	83,770	50.5%	58.1%	65.0%
Net placement revenue	29,801	23,508	25,927	33.0%	22.9%	20.1%
Securitization and other income	3,018	4,147	7,737	3.3%	4.0%	6.0%
Software Services	3,907	4,753	5,198	4.3%	4.6%	4.0%
Net interest income	4,216	3,940	3,301	4.7%	3.8%	2.6%
Realized Gain (loss) on financial instruments	3,749	6,744	3,005	4.2%	6.6%	2.3%
Revenue	90,238	102,780	128,938	100.0%	100.0%	100.0%
Expenses	(75,963)	(94,876)	(115,001)	(84.2%)	(92.3%)	(89.2%)
Income before income tax expense	14,275	7,904	13,937	15.8%	7.7%	10.8%
Income tax expense	(3,921)	(2,371)	(5,470)	(4.3%)	(2.3%)	(4.2%)
Net income	10,354	5,533	8,468	11.5%	5.4%	6.6%
Net Interest Expense	929	1,084	1,551	1.0%	1.1%	1.2%
Amortization	3,593	3,752	4,427	4.0%	3.7%	3.4%
Tax	3,921	2,371	5,470	4.3%	2.3%	4.2%
EBITDA	18,797	12,740	19,916	20.8%	12.4%	15.4%
As a % of revenue						
Net income	11.5%	5.4%	6.6%	11.5%	5.4%	6.6%
EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

Basis of presentation

Tables presented in the **Consolidated P&L** section contain reported consolidated P&L figures for FY21, FY22, and LTM Sep-23. Reported amounts were sourced from the monthly TB's. Refer to **Exhibits E1 and E2** for reconciliations to the external FS and internal financial statements. Refer to the **Accounting policies** section for a description of the nature and various sub-streams that make up each of the revenue items described below. We note that P&L figures are presented by BU Verticals in **Exhibit E10**.

Revenues

- Administration Revenue:** Increased from \$45.5M in FY21 to \$83.8M in LTM Sep-23, particularly due to the influx in business volume from the CGHLI program during LTM Sep-23. See **Exhibit E3** for a breakdown graphic of administration revenues during the Historical Period. Key drivers are further described as follows:
 - The Company earned higher servicing revenues as the overall AUA balance increased, particularly for AVEO & CGHLI loans. AUA Equivalents ("AUA") for CGHLI increased from \$31.8M as of Dec-22 to \$940.5M in Sep-23; refer to the **Mortgage Portfolio Analysis** section for additional details.
 - Underwriting revenues from the CMHC programs, ACLP and CGHLI, increased from \$8.2M in FY21 to \$33.8M in LTM Sep-23, largely due to higher adjudication volumes for the CGHLI program. Adjudicated CGHLI applications more than doubled from ~2,000 applications per month to ~4,000 per month in Sep-23. A total of 11,610 applications were adjudicated in Q3-23 alone, and the Sep-23 volume is the expected monthly run-rate going forward. Prior to H2-FY22, CMHC underwriting revenues were derived from the ACLP program, where deal sizes were typically large, leading to lumpiness in revenues. The ACLP program accounted for \$8.2M and \$5.4M in UW revenues in FY22 and LTM Sep-23, respectively. The ACLP program also generated \$2.0M and \$2.7M in servicing revenues in FY22 and LTM Sep-23, respectively.

Consolidated P&L | Overview

Net placement revenues declined from \$29.8M to \$25.9M in LTM Sep-23 due to lower lending volume amidst the inflationary interest rate environment

Income statement overview | Consolidated

C\$000	FY21	FY22	LTM Sep 23	As a % of revenue		
				FY21	FY22	LTM Sep 23
Underwriting - CMHC	8,185	16,511	33,829	9.1%	16.1%	26.2%
Servicing revenues	24,290	28,720	32,664	26.9%	27.9%	25.3%
Adjudication & Program	7,089	7,085	9,677	7.9%	6.9%	7.5%
Mortgage Analytics	3,771	4,127	4,238	4.2%	4.0%	3.3%
Administration & Other	940	1,386	1,392	1.0%	1.3%	1.1%
Management Revenue	511	920	1,021	0.6%	0.9%	0.8%
Other Admin Revenues	760	937	950	0.8%	0.9%	0.7%
Administration Revenue	45,547	59,687	83,770	50.5%	58.1%	65.0%
Placement Revenue - New	68,637	66,183	63,757	76.1%	64.4%	49.4%
Placement Revenue - Application Revent	4,494	4,717	5,403	5.0%	4.6%	4.2%
Placement Revenue - Whole Loans	2,287	(336)	2,121	2.5%	(0.3%)	1.6%
Placement Revenue - Renewals	4,482	4,099	4,561	5.0%	4.0%	3.5%
Placement Revenue - Extensions	1,602	1,093	975	1.8%	1.1%	0.8%
Placement Revenue - Lost Deals	199	319	490	0.2%	0.3%	0.4%
Placement Revenue - Other	742	829	856	0.8%	0.8%	0.7%
Placement revenue	82,443	76,905	78,162	91.4%	74.8%	60.6%
Placement costs	(52,643)	(53,396)	(52,236)	(58.3%)	(52.0%)	(40.5%)
Net placement revenue	29,801	23,508	25,927	33.0%	22.9%	20.1%
Securitization and other income	3,018	4,147	7,737	3.3%	4.0%	6.0%
Software Services	3,907	4,753	5,198	4.3%	4.6%	4.0%
Net interest income	4,216	3,940	3,301	4.7%	3.8%	2.6%
Realized Gain (loss) on financial instruments	3,749	6,744	3,005	4.2%	6.6%	2.3%
Revenue	90,238	102,780	128,938	100.0%	100.0%	100.0%
Expenses	(75,963)	(94,876)	(115,001)	(84.2%)	(92.3%)	(89.2%)
Income before income tax expense	14,275	7,904	13,937	15.8%	7.7%	10.8%
Income tax expense	(3,921)	(2,371)	(5,470)	(4.3%)	(2.3%)	(4.2%)
Net income	10,354	5,533	8,468	11.5%	5.4%	6.6%
Net Interest Expense	929	1,084	1,551	1.0%	1.1%	1.2%
Amortization	3,593	3,752	4,427	4.0%	3.7%	3.4%
Tax	3,921	2,371	5,470	4.3%	2.3%	4.2%
EBITDA	18,797	12,740	19,916	20.8%	12.4%	15.4%
As a % of revenue						
Net income	11.5%	5.4%	6.6%	11.5%	5.4%	6.6%
EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

Revenues (Continued)

• Administration Revenue (Continued):

- Analytics revenue grew as the Company added new mortgage analytics clients and performed valuations work on larger portfolio sizes. This was partly offset by a reduction in business from regular customers for risk ratings services.
- Management revenues reflect the growth of the Company's AUM for its flagship CMLS Mortgage Fund as these are earned on a bps basis. Refer to **Mortgage Portfolio Analysis** for details.
- While software revenues are generally shown in its own separate category, the Company records software report customization fees (i.e., change work requests) for underwriting and servicing departments here, as part of "Administration & other". "Other Admin Revenues" includes account management, insurance monitoring, home warranty and inspections revenues, which comprise less than 1.0%).

- **Net placement revenue:** These are presented net of placement costs. Refer to **Exhibit E3** for a breakdown graphic of gross placement revenues during the Historical Period.

- Similar to interest income, gross placement revenues are dependent on economic conditions, which influences borrowers' decisions on whether to convert, extend or renew loans. The inflationary environment & subsequent higher interest rates in FY22 & LTM23 slowed volume growth, while stiffer competition also drove gross fees lower. See the **Mortgage Portfolio Analysis** section for additional details.
- Given the nature of placement revenues earned on mortgages being subsequently measured at FVTPL, the Company encountered situations where loans were worth less at sale than at the time of funding in the inflationary period noted. This drove a decline in gross placement revenue in FY22; however, these losses were partially offset by hedging gains, as described under "Realized Gain/(Loss) on FI" below.

Consolidated P&L | Overview

The Company generated higher interest income on cash balances held in trust due to higher interest rates during the Historical Period

Income statement overview | Consolidated

C\$000				As a % of revenue		
	FY21	FY22	LTM Sep 23	FY21	FY22	LTM Sep 23
Administration Revenue	45,547	59,687	83,770	50.5%	58.1%	65.0%
Placement Revenue - New	68,637	66,183	63,757	76.1%	64.4%	49.4%
Placement Revenue - Application Revenue	4,494	4,717	5,403	5.0%	4.6%	4.2%
Placement Revenue - Whole Loans	2,287	(336)	2,121	2.5%	(0.3%)	1.6%
Placement Revenue - Renewals	4,482	4,099	4,561	5.0%	4.0%	3.5%
Placement Revenue - Extensions	1,602	1,093	975	1.8%	1.1%	0.8%
Placement Revenue - Lost Deals	199	319	490	0.2%	0.3%	0.4%
Placement Revenue - Other	742	829	856	0.8%	0.8%	0.7%
Placement revenue	82,443	76,905	78,162	91.4%	74.8%	60.6%
Placement costs	(52,643)	(53,396)	(52,236)	(58.3%)	(52.0%)	(40.5%)
Net placement revenue	29,801	23,508	25,927	33.0%	22.9%	20.1%
Securitization and other income	3,018	4,147	7,737	3.3%	4.0%	6.0%
Software Services	3,907	4,753	5,198	4.3%	4.6%	4.0%
Net interest income	4,216	3,940	3,301	4.7%	3.8%	2.6%
Realized Gain (loss) on financial instruments	3,749	6,744	3,005	4.2%	6.6%	2.3%
Revenue	90,238	102,780	128,938	100.0%	100.0%	100.0%
Expenses	(75,963)	(94,876)	(115,001)	(84.2%)	(92.3%)	(89.2%)
Income before income tax expense	14,275	7,904	13,937	15.8%	7.7%	10.8%
Income tax expense	(3,921)	(2,371)	(5,470)	(4.3%)	(2.3%)	(4.2%)
Net income	10,354	5,533	8,468	11.5%	5.4%	6.6%
Net Interest Expense	929	1,084	1,551	1.0%	1.1%	1.2%
Amortization	3,593	3,752	4,427	4.0%	3.7%	3.4%
Tax	3,921	2,371	5,470	4.3%	2.3%	4.2%
EBITDA	18,797	12,740	19,916	20.8%	12.4%	15.4%
As a % of revenue						
Net income	11.5%	5.4%	6.6%	11.5%	5.4%	6.6%
EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

The increase in net placement margin from FY22 to LTM Sep-23 is mainly attributable to the residential business, due to higher renewals (which have lower placement expenses) and more AVEO originations (which is a higher margin product). The Company further negotiated higher investor-paid AVEO fees from Mar-23, which are contractual and are expected to remain on a go-forward basis. Refer to *Exhibit E3* for further details.

Revenues (Continued)

• Net placement revenue (Continued):

- While overall renewal volumes declined, the Company experienced higher application revenues during the Historical Period (\$4.5M in FY21 to \$5.4M in LTM Sep-23), which are borrower-paid fees on AVEO and Residential Near Prime (i.e. "CAS") loans. These loans are alternative lending solutions. Renewal rates for these products increased as some borrowers were less likely to qualify with other lenders in the higher interest rate environment.
- Consulting revenues (\$239K in LTM Sep-23), recorded within "Other", relates to work performed where a commission is payable, but did not result in a loan being funded. Certain National Advisory revenues are also recorded here – refer to *EBITDA OC A* for further details.
- Placement costs are the cost of sales incurred to earn placement revenues, including direct compensation of originators. These costs increased as a percentage of gross placement revenues in FY22 due to additional placement costs recorded under National Advisory that has no related revenue. Refer to *EBITDA OC A* for details. This was partially offset by a decrease in other costs due to a decline in lending volumes and lower interest rate buydowns by residential mortgage brokers to win deals.
- **Securitization and other income:** Primarily comprises bank and other interest income (\$5.6M in LTM Sep-23) earned on operating cash as well as cash held in trust. Higher interest rates and cash balances drove the increase in the Historical Period. Interest income earned on operating cash balances is removed from EBITDA as a definitional adjustment, however, interest earned on trust balances is left above the line for EBITDA as it is operating in nature.
 - The remainder of this revenue relates to net gains on securitization (\$1.7M) and residual securitization income (\$345K). Gains on securitization, net of issuance costs and guarantee fees paid to CMHC, declined as the Company securitized lower volumes of commercial multi-family loans.

Consolidated P&L | Overview

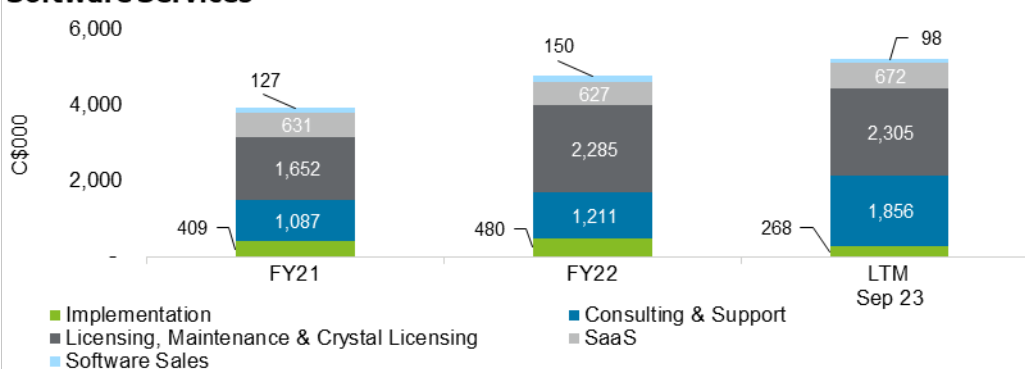
The Company's pool of mortgage-backed securities declined during the Historical Period, resulting in lower net interest income on securitized assets

Income statement overview | Consolidated

C\$000				As a % of revenue		
	FY21	FY22	LTM Sep 23	FY21	FY22	LTM Sep 23
Administration Revenue	45,547	59,687	83,770	50.5%	58.1%	65.0%
Net placement revenue	29,801	23,508	25,927	33.0%	22.9%	20.1%
Securitization and other income	3,018	4,147	7,737	3.3%	4.0%	6.0%
Software Services	3,907	4,753	5,198	4.3%	4.6%	4.0%
MBS Securitized interest revenue, net	22,929	17,146	15,251	25.4%	16.7%	11.8%
Interest income - mortgages	2,077	2,122	2,584	2.3%	2.1%	2.0%
ABCP Securitized interest revenue, net	139	147	153	0.2%	0.1%	0.1%
Interest revenue – mortgages	25,144	19,416	17,988	27.9%	18.9%	14.0%
Interest expense – mortgages	(20,928)	(15,475)	(14,687)	(23.2%)	(15.1%)	(11.4%)
Net interest income	4,216	3,940	3,301	4.7%	3.8%	2.6%
Realized Gain (loss) on financial instruments	3,749	6,744	3,005	4.2%	6.6%	2.3%
Revenue	90,238	102,780	128,938	100.0%	100.0%	100.0%
Expenses	(75,963)	(94,876)	(115,001)	(84.2%)	(92.3%)	(89.2%)
Income before income tax expense	14,275	7,904	13,937	15.8%	7.7%	10.8%
Income tax expense	(3,921)	(2,371)	(5,470)	(4.3%)	(2.3%)	(4.2%)
Net income	10,354	5,533	8,468	11.5%	5.4%	6.6%
EBITDA	18,797	12,740	19,916	20.8%	12.4%	15.4%
As a % of revenue						
Net income	11.5%	5.4%	6.6%	11.5%	5.4%	6.6%
EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

Software Services



Source: Management information

Revenues (Continued)

• Securitization and other income (Continued):

- Residual securitization income reflects changes to interest accretion on outstanding securitization receivable balances; increases in interest rates resulted in higher revenues.

- **Software Services:** Increased from \$3.9M in FY21 to \$5.2M in LTM Sep-23, due to increases in licensing & maintenance fees (\$2.2M in LTM Sep-23) and consulting & support charges (\$1.9M) from net new client wins.

- **Net Interest Income:** Primarily pertains to interest revenue earned on mortgage-backed securities (MBS), net of interest costs incurred. Refer to **Exhibit E5** for additional analysis.

- Amounts are primarily driven by the balance of MBS and the overall interest rate. The decline in balance of MBS drove the observed decrease in this item. Refer to the **Consolidated BS** section for further details on securitized mortgages held by the Company.
- Penalty interest income on MBS securities also contributed to this decline, dropping from \$2.3M in FY21 to \$314K in LTM Sep-23 due to changes in interest rates. Earlier in the Historical Period, during the COVID-19 impacted period, borrowers were more incentivized to prepay mortgages and risk the associated penalty interest in order to take advantage of the lower available interest rates. Consumer appetites for prepayment has since declined.
- From time-to-time, the Company employs opportunistic strategies to take advantage of market conditions, particularly when there are favourable changes in mortgage spreads. The increase in interest rates from Mar-22 has made warehousing mortgages on the balance sheet less attractive as the cost of warehouse funding has increased to a greater extent as compared to insured mortgage coupons. Management explained that their focus is on growing net interest income (i.e. spread between mortgage rates and CMB rates), rather than gross interest revenue.

Consolidated P&L | Overview

The Company enters into derivative contracts to hedge against interest rate risk and unwound a bond forward contract in Jun-22

Income statement overview | Consolidated

C\$000	FY21	FY22	LTM Sep 23	As a % of revenue		
				FY21	FY22	LTM Sep 23
Administration Revenue	45,547	59,687	83,770	50.5%	58.1%	65.0%
Net placement revenue	29,801	23,508	25,927	33.0%	22.9%	20.1%
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Realized Gain (loss) on financial instruments	3,749	6,744	3,005	4.2%	6.6%	2.3%
Revenue	90,238	102,780	128,938	100.0%	100.0%	100.0%
Salaries and benefits	(53,104)	(64,467)	(72,868)	(58.8%)	(62.7%)	(56.5%)
Applications & Data	(2,300)	(2,984)	(4,162)	(2.5%)	(2.9%)	(3.2%)
Mortgage Connection Fees	(2,295)	(4,146)	(9,880)	(2.5%)	(4.0%)	(7.7%)
Financing & Transactions Costs	(718)	(773)	(1,008)	(0.8%)	(0.8%)	(0.8%)
Rent	(3,133)	(4,116)	(5,161)	(3.5%)	(4.0%)	(4.0%)
Professional Fees	(3,694)	(4,096)	(4,880)	(4.1%)	(4.0%)	(3.8%)
Infrastructure Costs	(1,513)	(2,085)	(2,407)	(1.7%)	(2.0%)	(1.9%)
Office Related	(1,312)	(2,017)	(2,104)	(1.5%)	(2.0%)	(1.6%)
Insurance	(866)	(981)	(1,180)	(1.0%)	(1.0%)	(0.9%)
Marketing	(1,009)	(1,533)	(1,588)	(1.1%)	(1.5%)	(1.2%)
Travel	(426)	(1,200)	(1,233)	(0.5%)	(1.2%)	(1.0%)
Other operating costs	(2,378)	(2,732)	(2,521)	(2.6%)	(2.7%)	(2.0%)
Underwriting/Inspections	(427)	(705)	(1,006)	(0.5%)	(0.7%)	(0.8%)
Recruitment	(332)	(425)	(146)	(0.4%)	(0.4%)	(0.1%)
Non-operating expense	(235)	(877)	(2,813)	(0.3%)	(0.9%)	(2.2%)
Amortization	(2,219)	(1,738)	(2,043)	(2.5%)	(1.7%)	(1.6%)
Expenses	(75,963)	(94,876)	(115,001)	(84.2%)	(92.3%)	(89.2%)
Income before income tax expense	14,275	7,904	13,937	15.8%	7.7%	10.8%
Income tax expense	(3,921)	(2,371)	(5,470)	(4.3%)	(2.3%)	(4.2%)
Net income	10,354	5,533	8,468	11.5%	5.4%	6.6%
Net Interest Expense	929	1,084	1,551	1.0%	1.1%	1.2%
Amortization	3,593	3,752	4,427	4.0%	3.7%	3.4%
Tax	3,921	2,371	5,470	4.3%	2.3%	4.2%
EBITDA	18,797	12,740	19,916	20.8%	12.4%	15.4%
As a % of revenue						
Net income	11.5%	5.4%	6.6%	11.5%	5.4%	6.6%
EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

Revenues (Continued)

• Net interest income (Continued):

- Securitized interest expense related to MBS, including issuance costs and amortization of premiums/discounts upon issuance, amounted to \$11.4M in LTM Sep-23. The remainder of interest expense pertains to fees & interest on the warehouse facility; refer to the Consolidated BS section for details on the warehouse facility.

- **Realized Gain/(loss) on financial instruments:** Primarily comprises the realized gain/loss on hedging whole loan sales (\$3.2M in LTM Sep-23). As detailed under "Net placement revenue", the value of these loans was lower at the time of sale than at the time of funding, but the Company mitigated the interest rate risk via derivative contracts. The increase in FY22 resulted from the unwinding of a bond forward contract position in Jun-22. This derivative position was neither attributed to whole loan sales or securitizations but was unwound after the Company funded fewer mortgages than expected. The remainder of the balance pertains to standard expected credit loss (ECL) provisions that are recorded quarterly.

Consolidated P&L | Overview

The Company increased its headcount to support growing operations during the Historical Period, leading to higher employee compensation costs

Income statement overview | Consolidated

C\$000	FY21	FY22	LTM Sep 23	As a % of revenue		
				FY21	FY22	LTM Sep 23
Revenue	90,238	102,780	128,938	100.0%	100.0%	100.0%
Salaries and benefits	(53,104)	(64,467)	(72,868)	(58.8%)	(62.7%)	(56.5%)
Applications & Data	(2,300)	(2,984)	(4,162)	(2.5%)	(2.9%)	(3.2%)
Mortgage Connection Fees	(2,295)	(4,146)	(9,880)	(2.5%)	(4.0%)	(7.7%)
Financing & Transactions Costs	(718)	(773)	(1,008)	(0.8%)	(0.8%)	(0.8%)
Rent	(3,133)	(4,116)	(5,161)	(3.5%)	(4.0%)	(4.0%)
Professional Fees	(3,694)	(4,096)	(4,880)	(4.1%)	(4.0%)	(3.8%)
Infrastructure Costs	(1,513)	(2,085)	(2,407)	(1.7%)	(2.0%)	(1.9%)
Office Related	(1,312)	(2,017)	(2,104)	(1.5%)	(2.0%)	(1.6%)
Insurance	(866)	(981)	(1,180)	(1.0%)	(1.0%)	(0.9%)
Marketing	(1,009)	(1,533)	(1,588)	(1.1%)	(1.5%)	(1.2%)
Travel	(426)	(1,200)	(1,233)	(0.5%)	(1.2%)	(1.0%)
Other operating costs	(2,378)	(2,732)	(2,521)	(2.6%)	(2.7%)	(2.0%)
Underwriting/Inspections	(427)	(705)	(1,006)	(0.5%)	(0.7%)	(0.8%)
Recruitment	(332)	(425)	(146)	(0.4%)	(0.4%)	(0.1%)
Non-operating expense	(235)	(877)	(2,813)	(0.3%)	(0.9%)	(2.2%)
Amortization	(2,219)	(1,738)	(2,043)	(2.5%)	(1.7%)	(1.6%)
Expenses	(75,963)	(94,876)	(115,001)	(84.2%)	(92.3%)	(89.2%)
Income before income tax expense	14,275	7,904	13,937	15.8%	7.7%	10.8%
Income tax expense	(3,921)	(2,371)	(5,470)	(4.3%)	(2.3%)	(4.2%)
Net income	10,354	5,533	8,468	11.5%	5.4%	6.6%
Net Interest Expense	929	1,084	1,551	1.0%	1.1%	1.2%
Amortization	3,593	3,752	4,427	4.0%	3.7%	3.4%
Tax	3,921	2,371	5,470	4.3%	2.3%	4.2%
EBITDA	18,797	12,740	19,916	20.8%	12.4%	15.4%
As a % of revenue						
Net income	11.5%	5.4%	6.6%	11.5%	5.4%	6.6%
EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

Expenses

- Salary and benefits costs:** Increased from \$53.1M to \$72.9M due to headcount growth and non-recurring severance costs incurred for the restructuring initiatives noted in *EBITDA Adj 1*. We note that the Company focused on growing its Residential & Advisory businesses, offsetting the roles removed from non-focus areas during the restructuring initiatives. Refer to **Exhibit E4** for headcount details. The higher headcount and growth in operating results subsequently led to higher incentive payouts and benefits during the Historical Period. Payroll is run on a semi-monthly cadence.
 - For non-executive employees, the Company accrues for bonuses monthly at a target rate, which varies by staff level. Payouts are made in February of the following fiscal year - see *EBITDA Adj 16b* for a related adjustment. For executives, variable pay is accrued based on actual consolidated and vertical results versus budgeted results as the fiscal year progresses. Payouts for executive variable comp are made quarterly.
 - Vacation is accrued upon entitlement, and only 5 days can be carried over from one year to the next.
 - New incentive programs were introduced in FY22. The addition of a variable compensation program is discussed under *EBITDA Adj 27*. Further, when Intellifi onboarded the CGHLI program, Management introduced a volume bonus plan to incentivize employees to complete additional adjudications.
 - Salary and benefit amounts were impacted by non-recurring restructuring and severance costs during the Historical Period, as described under *EBITDA Adj's #1, 15 and 18*.

C\$000	FY21	FY22	LTM Sep 23
Wages - Salaries	(37,788)	(46,842)	(50,579)
Bonuses	(6,626)	(6,504)	(9,224)
Benefits	(2,969)	(5,590)	(7,646)
Payroll Taxes	(2,021)	(2,664)	(3,064)
Commissions	(1,739)	(1,899)	(1,637)
Wages - Contractors	(1,743)	(898)	(562)
Stock-based Compensation	(217)	(69)	(155)
Total	(53,104)	(64,467)	(72,868)

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Consolidated P&L | Overview

Growth in the business led to an increase in subscription costs for supporting software services and applications

Income statement overview | Consolidated

C\$000	FY21	FY22	LTM Sep 23	As a % of revenue		
				FY21	FY22	LTM Sep 23
Revenue	90,238	102,780	128,938	100.0%	100.0%	100.0%
Salaries and benefits	(53,104)	(64,467)	(72,868)	(58.8%)	(62.7%)	(56.5%)
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Marketing	(1,009)	(1,533)	(1,588)	(1.1%)	(1.5%)	(1.2%)
Travel	(426)	(1,200)	(1,233)	(0.5%)	(1.2%)	(1.0%)
Other operating costs	(2,378)	(2,732)	(2,521)	(2.6%)	(2.7%)	(2.0%)
Underwriting/Inspections	(427)	(705)	(1,006)	(0.5%)	(0.7%)	(0.8%)
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EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

Expenses (continued)

- Applications & data:** Represents subscription costs for the Company's various software programs such as Scarlett, Bloomberg and Tao MortgageHub. The increase in the Historical Period is partially attributed to the increase in headcount, resulting in additional subscriptions being required. Further, Intellifi's growth in underwriting business volumes led to more change-request work performed by Axiom for the Scarlett mortgage technology platform, particularly from Apr-23 onwards. These upticks in costs were partially offset by a decrease in software costs for the Crystal application, after the Company acquired the Crystal IP In Sep-22 – see *EBITDA Adj #14*.
- Mortgage connection fees:** Primarily comprises fees paid to the mortgage application software providers Axiom (\$8.3M in LTM Sep-23) and Filogix (\$818K in LTM Sep-23). Three other vendors (Newton, Boss and Lendesk) make up the remaining balance. A decrease in Filogix costs (from \$2.2M in FY21 to \$818K in LTM Sep-23) was offset by an increase in Axiom/Scarlett fees (from \$54K in FY21 to \$8.3M in LTM Sep-23), both of which solely pertain to Intellifi's operations. Axiom/Scarlett costs are a direct function of underwriting revenues earned under the CGHLI program. The higher volume of CGHLI adjudications from Jan-23 onwards led to the influx in Axiom/Scarlett fees, although they remained consistent as a percentage of CGHLI adjudication revenues. Refer to *EBITDA Adj #24* for a related adjustment on Filogix fees.
- Financing & transaction costs:** Comprises financing fees, interest expense, and standby fees on the Company's operating LoC (\$311K in LTM Sep-23) in addition to bank charges and fees (\$697K). LoC charges are added back to EBITDA as definitional adjustments; refer to the **Normalized EBITDA** section for details. Bank charges increased from \$395K in FY21, primarily due to higher wire fees paid by Intellifi as CGHLI adjudication volume increased.

Consolidated P&L | Overview

The increase in rent costs was due to new office locations established

Income statement overview | Consolidated

C\$000	FY21	FY22	LTM Sep 23	As a % of revenue		
				FY21	FY22	LTM Sep 23
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Financing & Transactions Costs	(718)	(773)	(1,008)	(0.8%)	(0.8%)	(0.8%)
Rent	(3,133)	(4,116)	(5,161)	(3.5%)	(4.0%)	(4.0%)
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Tax	3,921	2,371	5,470	4.3%	2.3%	4.2%
EBITDA	18,797	12,740	19,916	20.8%	12.4%	15.4%
<u>As a % of revenue</u>						
Net income	11.5%	5.4%	6.6%	11.5%	5.4%	6.6%
EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

Expenses (continued)

- Rent:** Comprises interest (\$1.1M in LTM Sep-23) and amortization (\$2.2M) on lease liabilities, in addition to variable lease payments (\$1.9M) for utilities, property tax, and one-time rent adjustments. The interest and amortization are removed from EBITDA as definitional adjustments, but lease cash costs have been layered on as part of *EBITDA Adj #17*. Lease payments increased during the Historical Period as the Company leased additional office spaces in new geographies.
- Professional fees:** Comprises legal & audit fees (\$2.1M in LTM Sep-23), switch costs (\$1.9M), and consulting expenses (\$971K). The increase is primarily driven by higher switch costs. Switch costs are legal expenses incurred to re-register property as collateral when a residential borrower switches lenders (the cost is borne by the Company). Switch costs increased from \$972K in FY21 to \$1.9M in LTM Sep-23 as an influx of customers switched to CMLS. This item is also impacted by a number of one-time/non-recurring EBITDA adjustments, as described under *EBITDA Adj #3*.
- Infrastructure costs:** Represents the Company's IT infrastructure expenses, particularly for its data centers (\$1.3M in LTM Sep-23), network circuits (\$784K), and hosting services (\$233K). Growth in the Company's operations led to the observed increase in these costs. As higher volumes of data were being managed, data center costs grew. Similarly, as Intellifi's CGHLI business volume grew, additional subscriptions were required, increasing network circuit costs.
- Office related:** Consists of office facility service costs (\$306K in LTM Sep-23), telecom charges (\$428K), staff event outlays (\$702K), office equipment maintenance charges (\$261K) and courier and postage services (\$212K), with the remaining balance relating to smaller miscellaneous items. FY21 reported figures were impacted by COVID-19 restrictions with fewer staff events.
- Insurance:** Pertains to the premiums paid for the Company's various insurance policies, including mortgage impairment (\$439K in LTM Sep-23), errors & omissions ("E&O", \$325K) and cyber liability (\$144K). This expense category consistently remained at 0.9-1.0% of total revenues and was impacted by inflationary increases in premiums during the Historical Period.

Consolidated P&L | Overview

Increased adjudication volume at Intellifi drove higher underwriting/inspection costs, while travel costs returned to normal levels following the lifting of COVID-19 restrictions

Income statement overview | Consolidated

C\$000	FY21	FY22	LTM Sep 23	As a % of revenue		
				FY21	FY22	LTM Sep 23
Revenue	90,238	102,780	128,938	100.0%	100.0%	100.0%
Salaries and benefits	(53,104)	(64,467)	(72,868)	(58.8%)	(62.7%)	(56.5%)
Applications & Data	(2,300)	(2,984)	(4,162)	(2.5%)	(2.9%)	(3.2%)
Mortgage Connection Fees	(2,295)	(4,146)	(9,880)	(2.5%)	(4.0%)	(7.7%)
Financing & Transactions Costs	(718)	(773)	(1,008)	(0.8%)	(0.8%)	(0.8%)
Rent	(3,133)	(4,116)	(5,161)	(3.5%)	(4.0%)	(4.0%)
Professional Fees	(3,694)	(4,096)	(4,880)	(4.1%)	(4.0%)	(3.8%)
Infrastructure Costs	(1,513)	(2,085)	(2,407)	(1.7%)	(2.0%)	(1.9%)
Office Related	(1,312)	(2,017)	(2,104)	(1.5%)	(2.0%)	(1.6%)
Insurance	(866)	(981)	(1,180)	(1.0%)	(1.0%)	(0.9%)
Marketing	(1,009)	(1,533)	(1,588)	(1.1%)	(1.5%)	(1.2%)
Travel	(426)	(1,200)	(1,233)	(0.5%)	(1.2%)	(1.0%)
Other operating costs	(2,378)	(2,732)	(2,521)	(2.6%)	(2.7%)	(2.0%)
Underwriting/Inspections	(427)	(705)	(1,006)	(0.5%)	(0.7%)	(0.8%)
Recruitment	(332)	(425)	(146)	(0.4%)	(0.4%)	(0.1%)
Non-operating expense	(235)	(877)	(2,813)	(0.3%)	(0.9%)	(2.2%)
Amortization	(2,219)	(1,738)	(2,043)	(2.5%)	(1.7%)	(1.6%)
Expenses	(75,963)	(94,876)	(115,001)	(84.2%)	(92.3%)	(89.2%)
Income before income tax expense	14,275	7,904	13,937	15.8%	7.7%	10.8%
Income tax expense	(3,921)	(2,371)	(5,470)	(4.3%)	(2.3%)	(4.2%)
Net income	10,354	5,533	8,468	11.5%	5.4%	6.6%
Net Interest Expense	929	1,084	1,551	1.0%	1.1%	1.2%
Amortization	3,593	3,752	4,427	4.0%	3.7%	3.4%
Tax	3,921	2,371	5,470	4.3%	2.3%	4.2%
EBITDA	18,797	12,740	19,916	20.8%	12.4%	15.4%
<u>As a % of revenue</u>						
Net income	11.5%	5.4%	6.6%	11.5%	5.4%	6.6%
EBITDA	20.8%	12.4%	15.4%	20.8%	12.4%	15.4%

Source: Monthly TB by Entity

Expenses (continued)

- **Marketing:** Consists of spend on sponsorships and various advertising media during the Historical Period. Reported figures were lower in FY21 due to COVID-19 restrictions, although they remained consistent with LTM Sep-23 as a percentage of revenues. Refer to *EBITDA Adj #5a* for one-time marketing costs added back to normalized EBITDA.
- **Travel:** Represents travel & entertainment costs. This spend is seasonal, with lower spend in winter months. FY21 figures were impacted by COVID-19 restrictions, as detailed in *EBITDA Adj #25*.
- **Other operating costs:** Comprises non-recoverable tax (\$1.3M in LTM Sep-23), compliance costs paid to ratings agencies and licensing regulators (\$380K), professional development and dues (\$246K), custodian fees (\$152K), charitable donations (\$134K), and other miscellaneous items (e.g., bad debt and trust payment errors). These costs remained relatively stable throughout the Historical Period as a % of revenue. Non-recoverable tax relates to unclaimed ITCs. As the Company is a Selected Listed Financial Institution (SLFI), certain revenue streams (i.e. placement revenue) are GST/HST exempt. This results in a corresponding percentage of ITCs being not claimable.
- **Underwriting/inspections:** Relates to costs for corporate, credit & property searches (\$761K in LTM Sep-23) and property appraisals (\$220K) to support the Company's underwriting services. The higher adjudication volume pertaining to the CGHLI program at Intellifi drove the uptick observed for this item during the Historical Period.
- **Recruitment:** Pertains to fees for external recruiters. In Aug-22, the Company adopted a new policy in which approval from the executive committee is required to use external recruiters, leading to the observed decline during LTM Sep-23 as described in *EBITDA Adj #28*.
- **Non-operating expense:** Refer to *EBITDA Adj #2* for a description of the various non-operational items that make up this expense, all of which are removed from normalized EBITDA. This amount includes post-close acquisition adjustments, which are included in "Amortization" in normalized EBITDA.
- **Amortization:** Represents amortization charges on PP&E, intangible assets, and goodwill. These amounts are all removed EBITDA.

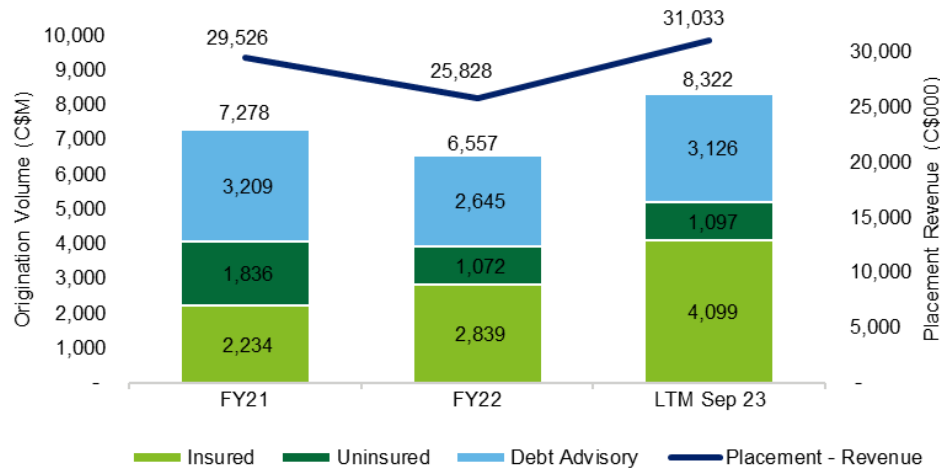
Mortgage portfolio analysis

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Mortgage portfolio analysis | Commercial Origination & Placement

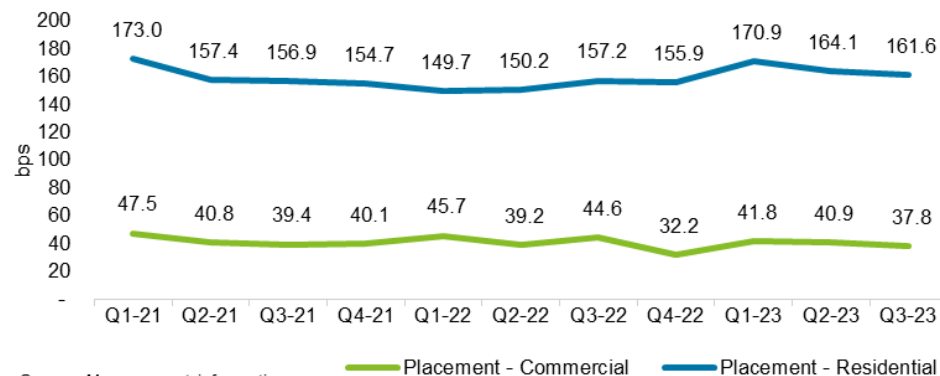
Growth in the Company's commercial loan origination volumes resulted in higher gross placement fees during the Historical Period

Origination Volume vs Placement Revenue - Commercial



Source: Management information

Placement Revenue - Average bps of total originated volume



Source: Management information

Basis of presentation

The charts shown on this page present the Company's total loan origination volume and gross placement revenues for commercial loans, as per the Company's Board report packages. Origination volumes shown on this page pertain to all loans originated regardless of whether there is risk/reward exposure to the loan. Gross placement revenues presented here include realized gain/loss on whole loan sales, which is presented as part of "Realized gain (loss) on financial instruments" on the TB's.

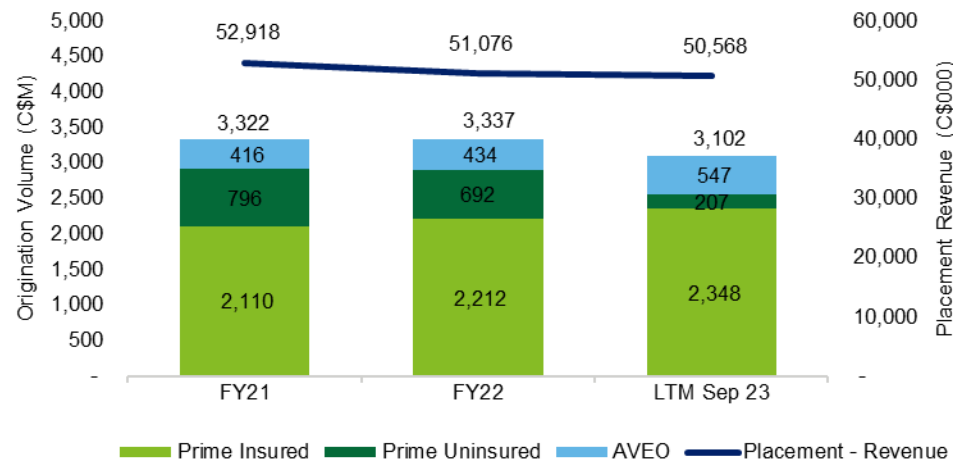
Loans for which the Company has risk/reward exposure to are defined as loans which the Company warehouses/holds on its balance sheet, or for which the client holds advancing responsibilities for.

- Gross placement revenues for commercial loans increased from \$29.5M in FY21 to \$31.0M in LTM Sep-23, primarily due to a 14.3% increase in origination volume (from \$7.3B in FY21 to \$8.3B in LTM Sep-23). The increase in volumes are due to growth in Insured and Debt Advisory products, while volumes for Uninsured loans declined 40.3% between FY21 and LTM Sep-23 as interest rates rose and borrower affordability fell.
- Commercial origination volumes tend to peak in Q4 as borrowers prefer to close on funding arrangements prior to calendar year-end.
- The increase in origination volumes was partially offset by a decline in average placement fee from 42.0 bps in FY21 to 38.2 bps in LTM Sep-23. This decline was due to the increasingly competitive nature of originating insured commercial mortgages and larger transaction sizes (fees are typically lower for larger transactions).

Mortgage portfolio analysis | Residential Origination & Placement

The decline in residential origination volumes was driven by stiffer competition for prime uninsured loan products

Origination Volume vs Placement Revenue - Residential



Source: Management information

Basis of presentation

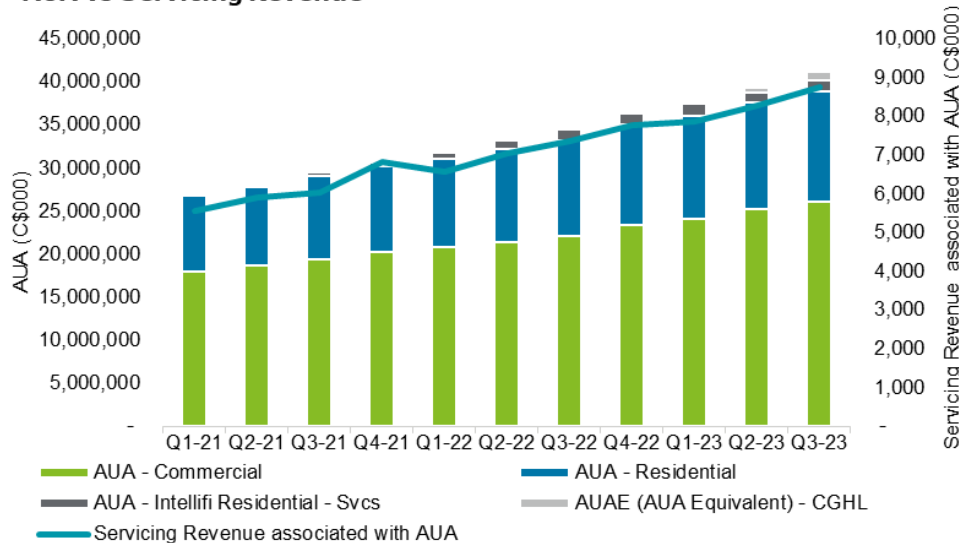
The adjacent chart presents the Company's total loan origination volume and the gross placement revenues for residential loans, as per the Company's Board report packages.

- Gross placement revenue for residential loans decreased by 4.4% to \$50.6M in LTM Sep-23 from \$52.9M in FY21, corresponding to the decline in origination volume.
 - Prime Insured loan origination volume increased as more borrowers switched over to the Company, which offers a competitive switch/transfer program.
 - Prime Uninsured loan volumes, on the other hand, decreased noticeably from \$796.3M in FY21 to \$207.1M in LTM Sep-23 due to strong competition (i.e., better rates and looser policies offered by competitors).
 - AVEO loan origination volumes increased slightly between FY21 and LTM Sep-23 as borrowing requirements became more stringent and affordability concerns increased.
- The decline in origination volumes was partially offset by an increase in placement fees from an average of 160.5 bps in FY21 to 163.1 bps in LMT Sep-23. Refer to the previous page for gross placement revenues as bps of loan origination amounts. Placement fees are dependent on product type and term, with shorter terms leading to lower fees. The Company also renegotiated placement fees with investors in Q1-23 for AVEO products.

Mortgage portfolio analysis | AUA and Servicing Revenues

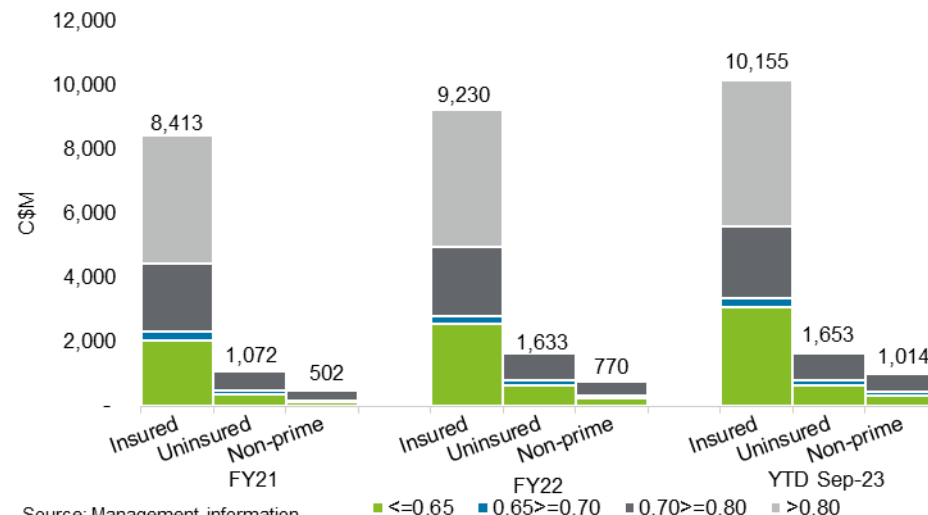
The increase in total Assets under Administration (AUA) drove the increase in servicing revenues during the Historical Period

AUA vs Servicing Revenue



Source: Management information

Residential AUA - LTV Bands



Source: Management information

This written communication is solely for CMLS Financial Solutions Inc.'s benefit, and is not intended to be relied upon by any other person or entity.

Basis of presentation

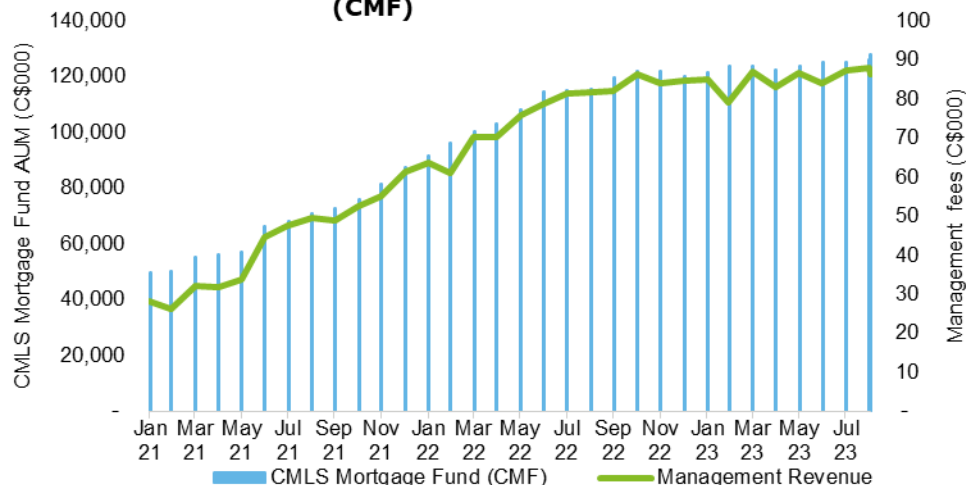
AUA data is taken from the Company's Board packages and internal reporting packs, while revenue figures are derived from the trial balances.

- The growth in total servicing revenues, from \$24.3M in FY21 to \$32.7M in LTM Sep-23, corresponded with the growth in AUA, which increased from \$26.9B at the end of Q1-21 to \$41.1B at the end of Sep-23. As a % of total AUA, servicing revenues stayed relatively consistent, climbing slightly from an average of 8.43bps in FY21 to 8.46bps in LTM Sep-23.
- The Company splits total AUA across four different categories: **Commercial AUA** consistently accounts for the largest proportion of total AUA, making up 63.3% of the balance as of Sep-23 (65.8% as of Dec-21). **Residential AUA** made up 31.2% of the total AUA balance as of Sep-23 (32.6% as of Dec-21). The remainder of the balance pertains to **Intellifi Residential AUA** (3.2% in Sep-23) and **CGHLI AUA Equivalents** (2.3% in Sep-23).
- Residential AUA can be further broken down across three categories: Prime insured, prime uninsured, and non-prime. While prime insured loans accounted for 79.2% of the Residential AUA balance as of Sep-23, prime insured loans' share of AUA has declined in favour of prime uninsured and non-prime categories due to tightening of borrowing requirements. Prime insured loans accounted for 84.2% and 79.3% of Residential AUA in FY21 and FY22, respectively.
- Loan to value (LTV) ratios calculate the mortgage amount as a percentage of the appraised property value. Across all Residential AUA categories, a shift towards lower LTV ratios was observed in the Historical Period as lenders reduced exposure to borrower credit risk.

Mortgage portfolio analysis | CMF AUM and Fund Management Revenue

The increase in AUM for the Company's flagship CMLS Mortgage Fund drove growth in management fee revenues during the Historical Period

Fund Management Revenue vs CMLS Mortgage Fund (CMF)



Source: Management information

Management Revenue vs CMLS Mortgage Fund

C\$000	FY21	FY22	LTM Sep 23
Management Revenue ¹	511.2	919.8	1,020.8
CMLS Mortgage Fund (CMF)	87,560	120,016	128,052
Management fee (bps)	6.4	6.9	6.9

Note 1: Management revenues presented above are net of management fee rebates.

Source: CFSI Financial Model - Gamma Fcst 12-13-23

Basis of presentation

The adjacent chart presents the CMLS Mortgage Fund (CMF) AUM, alongside fund management fee revenue for the Historical Period. Revenue figures are derived from the trial balances, while AUM figures are taken from Management's internal reporting packages and models.

- Management fee revenues, net of rebates, doubled from \$511.2K in FY21 to \$1M in LTM Sep-23. The increase was due to an increase in AUM in the CMLS Mortgage Fund (CMF) from \$49.6M in Jan-21 to \$128.0M in Sep-23 as the fund continues to operate in a growth mode.
- The average management fee calculated based on CMF balance has increased from 6.4 bps of AUM in FY21 to 6.9 in LTM Sep-23, as the composition of fund unitholders has changed.
- The CMF offers subscribers an opportunity to invest in real estate private debt, primarily pertaining to single-family and multi-family properties (>80% of fund assets combined).
- While the overall AUM balance has increased by 158.2% over the Historical Period, the slowdown in AUM growth, particularly after Jun-22, can be attributed to rising interest rates and slower transaction activity. The annual YoY growth rate in AUM decreased from 37.1% in FY22, to 6.7% in LTM Sep-23.

Consolidated Balance Sheet

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Consolidated Balance Sheet | Overview

Restricted cash balances relate primarily to settlement accounts held in trust for securitization programs

Balance sheet | CMLS Consolidated

C\$000	Dec 21	Dec 22	Sep 23
Cash, cash equivalents and ST investments	16,028	16,127	23,111
Restricted Cash and cash held as collateral	20,113	11,154	8,479
Other receivable	19,348	24,176	29,677
Mortgage and loan receivables	916,434	725,761	593,785
Securitization receivables	8,486	9,743	8,801
Commercial mortgage-backed securities	449	816	860
Derivative assets/(liabilities)	46	620	342
Long-lived assets	16,849	25,757	31,309
Other assets	2,689	4,454	5,266
Total assets	1,000,441	818,607	701,631
Bank indebtedness	(48,236)	(52,878)	(11,357)
Accounts payable and accrued liabilities	(16,414)	(19,337)	(25,477)
Debt related to securitizations	(866,659)	(667,240)	(579,791)
Income taxes payable	4,731	(711)	(627)
Deferred income tax liabilities	(3,991)	(1,427)	(770)
Notes payable	(1,526)	0	(2,588)
Other Liabilities	(14,855)	(22,453)	(29,152)
Total liabilities	(946,949)	(764,046)	(649,761)
Common shares	(18,514)	(20,155)	(21,358)
Preferred shares	(507)	(507)	(507)
Contributed surplus	(445)	(1,187)	(2,095)
Accumulated other comprehensive income	(123)	497	794
Retained Earnings	(33,903)	(33,209)	(28,704)
Total equity	(53,492)	(54,561)	(51,870)
Total liabilities and equity	(1,000,441)	(818,607)	(701,631)

Source: Monthly TB by Entity

Basis of presentation

- The adjacent table presents the Company's consolidated reported balance sheet as at Dec-21, Dec-22, and Sep-23. Reported figures have been sourced from the monthly trial balances and reconciled to the external and internal FS, as seen in **Exhibits E1 and E2**.

Assets

- Cash, cash equivalents and ST investments:** Consists of \$20.1M of cash balances held in demand accounts at various financial institutions as of Sep-23. The remaining balance relates to cash-equivalent or other highly liquid investments with a term to maturity of three months or less as of the balance sheet date.

Higher operating cash flows generated by the Company's commercial and residential verticals drove an increase in cash balances in the Historical Period, while cash outflows (e.g., dividend payouts) did not increase at the same pace.

- Restricted cash:** Comprises settlement accounts held in trust for the securitization programs recorded on the Company's BS. The balance declined throughout the Historical Period as the Company's pool of securitized mortgages decreased. See "Mortgage and loan receivables" for further details. Until Aug-23, this item also included cash held as collateral for an asset-backed commercial paper (ABCP) facility. The ABCP program was shut down to improve liquidity in Sep-23.
- Other receivable:** Primarily comprises \$24M of accounts receivable as of Sep-23. A/R was largely driven by the higher servicing revenues, particularly from CMHC, during the Historical Period. Monthly fluctuations, including credit balances in certain months, were observed due to periods when funds were received but did not need to be immediately remitted.
- The remainder of the balance relates to placement fee receivables from contracted software services for customers. While the service obligations are fulfilled at the inception of the contract, amounts are collected over the contract's term and recognized as other receivables. This balance also includes \$350K of provisions for expected credit losses (ECL's) as of Sep-23. ECL provisions are typically minimal as most receivables are held in trust and the Company's client base is primarily blue-chip financial institutions. Refer to **Exhibit E6** for further details.

Consolidated Balance Sheet | Overview

Mortgage and loan receivables on the balance sheet represent any balances for which risks & rewards have not been fully transferred to third parties

Balance sheet | CMLS Consolidated

C\$000	Dec 21	Dec 22	Sep 23
Cash, cash equivalents and ST investments	16,028	16,127	23,111
Restricted Cash and cash held as collateral	20,113	11,154	8,479
Other receivable	19,348	24,176	29,677
Mortgage and loan receivables	916,434	725,761	593,785
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Debt related to securitizations	(866,659)	(667,240)	(579,791)
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Total equity	(53,492)	(54,561)	(51,870)
Total liabilities and equity	(1,000,441)	(818,607)	(701,631)

Source: Monthly TB by Entity

Mortgage and loan receivables | CMLS Consolidated

C\$000	Dec 21	Dec 22	Sep 23
Securitized mortgages	859,300	667,041	577,671
Mortgages Accumulated for sale	34,151	56,786	12,843
Mortgages Accumulated for Securitization	22,683	740	-
Other Short-term Loans	300	1,194	2,660
Others	-	-	611
Total	916,434	725,761	593,785

Source: Monthly TB by Entity

Assets (Continued)

- **Mortgage and loan receivables:** Represents the largest portion of the Company's assets, making up 84.6% of the total asset balance as at Sep-23. The receivable balances pertain to insured, uninsured and near prime mortgages for single family and commercial multi-family properties. The balance consists of \$577.7M of securitized mortgages, and \$12.8M of mortgages accumulated for sale. Refer to the **Accounting policy** section for further details on the nature and accounting treatment of mortgage and loan receivables. In addition to the mortgage advance balances, this item also includes mortgage costs that are capitalized when the Company funds mortgages.

The decline noted is due to the decrease in securitized mortgage receivables from \$859.3M in Dec-21 to \$577.7M in Sep-23 as it has become more profitable to do whole loan sales rather than securitize residential loans in a higher interest rate environment.

- **Securitization receivables:** Pertains to certain securitized mortgages that have been sold into the CMB and MBS programs (refer to **Accounting policy** section for details) and subsequently derecognized from the balance sheet. The Company continues to recognize a securitization receivable for its continued servicing activities related to these transferred assets. The \$8.8M balance as of Sep-23 represents the Company's rights to the excess spread on the related mortgages. At Sep-23, \$5.8M of the balance was classified as a long-term asset, while the remainder was classified as short-term (i.e., collectible within 12 months).
- **Commercial mortgage-backed securities ("CMBS"):** Represents the Company's investment in subordinated CMBS certificates issued under the Canadian Commercial Mortgage Origination Trust (CCMOT) banner after securitization. The Company's involvement as a master servicer is limited to originating the securitized mortgages and marketing the CMBS certificates. As part of its role, the Company is required to hold \$333K for each certificate issued.
- **Derivative assets/(liabilities):** Represents the fair value of bond forward contracts not designated in a qualifying hedging relationship. The Company mitigates interest rate risk relating to its mortgage investments and commitments via bond forwards.

Consolidated Balance Sheet | Overview

The Company established additional locations across Canada, leading to an increase in ROU assets during the Historical Period

Balance sheet | CMLS Consolidated

C\$000	Dec 21	Dec 22	Sep 23
Cash, cash equivalents and ST investments	16,028	16,127	23,111
Restricted Cash and cash held as collateral	20,113	11,154	8,479
Other receivable	19,348	24,176	29,677
Mortgage and loan receivables	916,434	725,761	593,785
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Income taxes payable	4,731	(711)	(627)
Deferred income tax liabilities	(3,991)	(1,427)	(770)
Notes payable	(1,526)	0	(2,588)
Other Liabilities	(14,855)	(22,453)	(29,152)
Total liabilities	(946,949)	(764,046)	(649,761)
Common shares	(18,514)	(20,155)	(21,358)
Preferred shares	(507)	(507)	(507)
Contributed surplus	(445)	(1,187)	(2,095)
Accumulated other comprehensive income	(123)	497	794
Retained Earnings	(33,903)	(33,209)	(28,704)
Total equity	(53,492)	(54,561)	(51,870)
Total liabilities and equity	(1,000,441)	(818,607)	(701,631)

Source: Monthly TB by Entity

Assets (Continued)

- **Long-lived assets:** Consists of (i) \$23.2M of ROU lease assets, (ii) \$3.6M of fixed assets (i.e., furniture & equipment, leasehold improvements, and computer hardware); and (iii) \$4.5M of intangible assets (primarily computer software and acquired customer relationships), all net of depreciation. The increase in long-lived assets was primarily driven by the addition of office leases in Vancouver and Montreal. ROU lease assets are accounted for under IFRS 16.
- **Other assets:** Consists of (i) \$2.0M of deferred tax assets, (ii) \$1.6M of prepaids; and (iii) \$1.7M of deposits and other assets. Refer to **Exhibit E7** for a detailed breakout of prepaid expenses. Deposits and other assets consist of rent & security deposits on equipment and office leases, alongside AR contract assets and the Company's investment in Skyhawk Capital Advisors. AR contract assets are recorded in Intellifi and represent the present value of the guaranteed monthly minimum amounts recognized upfront for software licensing fees, as described under the **Accounting policies** section.

Liabilities

- **Bank indebtedness:** Comprises the amount drawn on the Company's warehouse credit facility as of Sep-23. The warehouse credit facility provides the Company with funds for purchasing and originating eligible mortgages, as dictated by its credit agreement. The warehouse facility has three tranches that each carry different interest rates and standby fee rates. In total, the three tranches allow for \$135M of borrowing.
- The operating line of credit is also recorded in this financial statement line when drawn (nil at Sep-23). It has a maximum borrowing capacity of \$40M and renews on June 1. The operating facility is intended to provide funds for day-to-day working capital needs. Both the operating and warehouse facilities are issued by National Bank, with TD and Laurentian Bank as participating lenders.
- **Accounts payable and accrued liabilities:** Comprises trade payables, commission payables to commercial originators and residential external brokers, accrued payroll liabilities, and accrued liabilities for various operational expenses. The increase in this balance can be attributed to higher incentive payouts and Axiom fees accrued. Refer to **Exhibit E8** for AP aging and details.

Consolidated Balance Sheet | Overview

The largest proportion of liabilities pertains to the debt associated with the mortgage and loan receivables recorded on the balance sheet

Balance sheet | CMLS Consolidated

C\$000	Dec 21	Dec 22	Sep 23
Cash, cash equivalents and ST investments	16,028	16,127	23,111
Restricted Cash and cash held as collateral	20,113	11,154	8,479
Other receivable	19,348	24,176	29,677
Mortgage and loan receivables	916,434	725,761	593,785
Securitization receivables	8,486	9,743	8,801
Commercial mortgage-backed securities	449	816	860
Derivative assets/(liabilities)	46	620	342
Long-lived assets	16,849	25,757	31,309
Other assets	2,689	4,454	5,266
Total assets	1,000,441	818,607	701,631
Bank indebtedness	(48,236)	(52,878)	(11,357)
Accounts payable and accrued liabilities	(16,414)	(19,337)	(25,477)
Debt related to securitizations	(866,659)	(667,240)	(579,791)
Income taxes payable	4,731	(711)	(627)
Deferred income tax liabilities	(3,991)	(1,427)	(770)
Notes payable	(1,526)	0	(2,588)
Other Liabilities	(14,855)	(22,453)	(29,152)
Total liabilities	(946,949)	(764,046)	(649,761)
Common shares	(18,514)	(20,155)	(21,358)
Preferred shares	(507)	(507)	(507)
Contributed surplus	(445)	(1,187)	(2,095)
Accumulated other comprehensive income	(123)	497	794
Retained Earnings	(33,903)	(33,209)	(28,704)
Total equity	(53,492)	(54,561)	(51,870)
Total liabilities and equity	(1,000,441)	(818,607)	(701,631)

Source: Monthly TB by Entity

Liabilities (continued)

- **Debt related to securitizations:** Represents the debt related to the securitized mortgage and loan receivables discussed under the *Assets* overview. Balances decreased during the Historical Period alongside the securitized mortgage balances held on the balance sheet. Debt related to mortgages pledged to the ABCP facility discussed under "Restricted Cash" was also included in this item until the program was wound down (nil balance in Sep-23).
- **Income taxes payable:** Comprises income taxes owing (\$5.8M as of Sep-23), net of tax instalments made to federal and provincial governments (\$4.5M). A \$588K deferred income tax receivable balance pertaining to Intellifi is also included in this item.
- **Deferred income tax liabilities:** Primarily relate to the tax base of leases and capital & intangible assets.
- **Notes payable:** Relate to unsecured promissory notes issued to external parties as part of a share repurchase agreement. The notes were fully repaid by Dec-22, and another issue was made in Jan-23, via CFSI.
- **Other Liabilities:** Comprises the following items described below:
 - Lease liabilities (\$25.9M as of Sep-23), representing the leasehold liabilities for the Company's office spaces under IFRS 16. This balance increased as the Company added new locations across Canada during the Historical Period.
 - Deferred servicing liabilities (\$1.6M), representing the Company's obligation to service the derecognized commercial securitized mortgage pool.
 - 966 P&I obligations (\$1.6M) owed to pool holders for derecognized securitization pools. Remittances are made monthly to Computershare.

Exhibits

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Exhibits | E1: TB to AFS reconciliation

E1a: TB to AFS reconciliation - IS

Reconciliation | Income statement

C\$000	FY21			FY22			
	AFS	TB	Diff.	AFS	TB	Diff.	
Interest income - mortgages	25,147	25,144	3	19,445	19,416	30	
Interest expense - mortgages	(20,552)	(20,928)	376	(14,934)	(15,475)	541	
Net interest income	4,595	4,216	379	4,512	3,940	571	1
Placement fees	82,443	82,443	0	76,905	76,905	(0)	
Administration fees	45,547	45,547	(0)	59,687	59,687	0	
Securitization and other income	3,018	3,018	(0)	4,147	4,147	0	
Software services	3,907	3,907	(0)	4,753	4,753	(0)	
Gain on financial instruments	3,692	3,749	(57)	6,888	6,744	143	1
Revenue	138,607	138,664	(57)	152,380	152,236	143	
Placement costs	(52,643)	(52,643)	0	(53,396)	(53,396)	0	
Salaries and benefits	(53,104)	(53,104)	0	(64,467)	(64,467)	0	
Other operating costs	(19,587)	(19,266)	(322)	(27,626)	(26,911)	(715)	1
Amortization	(3,593)	(3,593)	(0)	(3,498)	(3,498)	0	
Expenses	(128,927)	(128,606)	(322)	(148,987)	(148,273)	(715)	
Income before income tax expense	14,275	14,275	0	7,904	7,904	(0)	
Income tax expense	(3,921)	(3,921)	(0)	(2,371)	(2,371)	0	
Net income	10,354	10,354	0	5,533	5,533	(0)	

Source: 2022 CFSI Consolidated Financial Statements - Signed

Explanation of reconciliation variances:

- 1 Pertains to variances in classification between the TB and the AFS regarding interest income on restricted cash, warehouse standby fees and ECL provision costs. The interest income on restricted cash is classified to Net interest income on the AFS but recorded under Gain on financial instruments on the TB. The warehouse standby fees are recorded as part of operating expenses on the AFS but classified under Net interest income on the TB. The remaining variances pertain to ECL provision costs, which are recorded as part of "Gain on financial instruments" on the TB's.

Exhibits | E1: TB to AFS reconciliation

E1b: TB to AFS reconciliation - BS

Reconciliation | Balance sheet

C\$000	Dec-21			Dec-22		
	AFS	TB	Diff.	AFS	TB	Diff.
Cash and cash equivalents	16,028	16,028	0	13,128	13,128	(0)
Restricted cash and cash held as collateral	20,113	20,113	0	11,154	11,154	(0)
Short-term investments	-	-	-	2,999	2,999	0
Derivative assets	46	46	(0)	620	620	(0)
Other receivables	19,348	19,348	(0)	24,176	24,176	0
Securitization receivables	8,486	8,486	(0)	9,743	9,743	0
Mortgages and loans receivable	916,434	916,434	(0)	725,761	725,761	(0)
Commercial mortgage-backed securities	449	449	0	816	816	0
Income taxes receivable	4,731	4,731	(0)	-	-	-
Deferred income tax assets	1,371	1,371	0	1,954	1,954	0
Long-lived assets	16,849	16,849	0	25,757	25,757	(0)
Other assets	1,318	1,318	0	2,500	2,500	0
Total assets	1,005,172	1,005,172	(0)	818,607	818,607	0
Bank indebtedness	(48,236)	(48,236)	(0)	(52,878)	(52,878)	0
Accounts payable and accrued liabilities	(16,414)	(16,414)	0	(19,337)	(19,337)	(0)
Debt related to securitizations	(866,659)	(866,659)	0	(667,240)	(667,240)	0
Income taxes payable	-	-	-	(711)	(711)	(0)
Deferred income tax liabilities	(3,991)	(3,991)	(0)	(1,427)	(1,427)	0
Notes payable and share liabilities	(1,526)	(1,526)	(0)	-	-	-
Other liabilities	(14,855)	(14,855)	0	(22,453)	(22,453)	(0)
Total liabilities	(951,681)	(951,681)	0	(764,046)	(764,046)	(0)
Common shares	(18,514)	(18,514)	(0)	(20,155)	(20,155)	0
Preferred shares	(507)	(507)	-	(507)	(507)	-
Contributed surplus	(445)	(445)	(0)	(1,187)	(1,187)	(0)
Accumulated other comprehensive (loss) income	(123)	(123)	(0)	497	497	0
Retained earnings	(33,903)	(33,903)	0	(33,209)	(33,209)	(0)
Shareholders' equity	(53,492)	(53,492)	(0)	(54,561)	(54,561)	(0)
Total liabilities and Shareholders' equity	(1,005,172)	(1,005,172)	0	(818,607)	(818,607)	(0)

Source: 2022 CFSI Consolidated Financial Statements - Signed

Exhibits | E2: TB to reporting pack rec

E2a: TB to Monthly reporting packages reconciliation - IS

Consolidating income statement

C\$000	FY21			FY22			YTD Sep-23		
	Monthly reporting packages	TB	Diff.	Monthly reporting packages	TB	Diff.	Monthly reporting packages	TB	Diff.
Interest revenue – mortgages	25,144	25,144	0	19,416	19,416	-	13,158	13,158	(0)
Interest expense – mortgages	(20,928)	(20,928)	-	(15,475)	(15,475)	-	(10,651)	(10,651)	(0)
Net Interest - mortgages	4,216	4,216	0	3,940	3,940	-	2,507	2,507	(0)
Placement - Revenue	83,443	83,443	0	76,905	79,112	(2,208)	61,528	61,528	(0)
Placement - Expense	(52,643)	(52,643)	0	(51,189)	(53,396)	2,208	(38,738)	(38,738)	(0)
Net Placement	30,800	30,800	0	25,716	25,716	0	22,790	22,790	(0)
Administration Revenue	45,439	45,547	(108)	59,687	59,687	-	65,011	64,989	22
Net Gain / (Loss) on Securitization	5,710	5,710	0	4,720	4,720	-	5,583	5,583	(0)
Software Services	3,907	3,907	(0)	4,753	4,753	-	3,806	3,806	0
Realized Gain (loss) on financial instruments	58	58	0	3,963	3,963	-	200	200	0
Revenue	90,130	90,238	(108)	102,780	102,780	-	99,897	99,874	22
Operating expense	(74,889)	(74,889)	(0)	(93,842)	(93,842)	-	(85,721)	(85,721)	0
Operating margin	15,241	15,349	(108)	8,938	8,938	0	14,175	14,153	22
Non-operating expense	(4,887)	(4,995)	108	(3,406)	(3,406)	-	(7,328)	(7,328)	(0)
Net income	10,354	10,354	0	5,533	5,533	0	6,847	6,825	22

Source: Monthly Reporting Packages and TB

Exhibits | E2: TB to reporting pack rec

E2b: TB to Monthly reporting packages reconciliation - BS

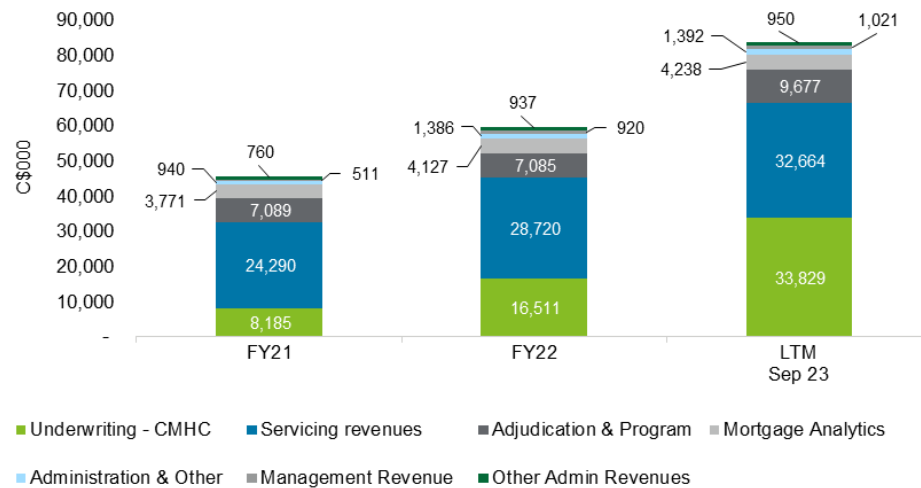
Consolidating balance sheet

C\$000	Dec-21			Dec-22			Sep-23		
	Monthly reporting packages	TB	Diff.	Monthly reporting packages	TB	Diff.	Monthly reporting packages	TB	Diff.
Current Assets	982,228	968,875	13,353	790,011	790,011	-	667,436	668,319	(883)
Non-current assets	18,213	31,566	(13,353)	28,597	28,597	0	34,195	33,312	883
Total Assets	1,000,441	1,000,441	(0)	818,607	818,607	0	701,631	701,631	(0)
Current Liabilities	(930,568)	(929,415)	(1,153)	(741,392)	(741,593)	201	(617,777)	(618,022)	244
Non-current liabilities	(16,381)	(17,534)	1,153	(22,654)	(22,453)	(201)	(31,984)	(31,739)	(244)
Total Liabilities	(946,949)	(946,949)	(0)	(764,046)	(764,046)	0	(649,761)	(649,761)	0
Shareholders' Equity	(53,492)	(53,492)	(0)	(54,561)	(54,561)	-	(51,870)	(51,870)	0
Total liabilities and shareholders' equity	(1,000,441)	(1,000,441)	(0)	(818,607)	(818,607)	0	(701,631)	(701,631)	0

Source: Monthly Reporting Packages and TB

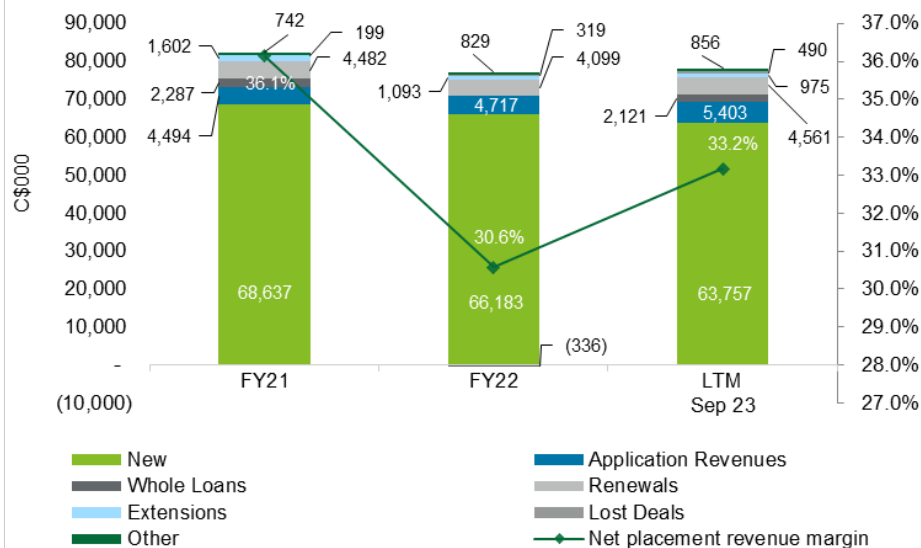
Exhibits | E3: Gross Placement Revenue and Administration Revenue

Administration Revenue



Source: Management information

Gross placement revenue



Breakdown of administration revenues

- Prior to FY22, the trial balance line "Underwriting fees - CMHC" related to the ACLP. The onboarding of the CGHLI program drove the increase between FY22 and LTM Sep-23. "Underwriting fees-CMHC" accounted for 40.4% of LTM Sep-23 administration revenues.
- Servicing revenues grew as AUA increased in the Historical Period, as detailed in the **Mortgage Portfolio Analysis** section. These revenues are categorized as Servicing - Direct (\$29M in LTM Sep-23), Servicing - Third Party (\$3.3M) and Master Servicing (\$423K). Altogether, these servicing fees accounted for 39% of LTM Sep-23 administration revenues.
- Underwriting revenues pertaining to residential loans tended to show seasonality due to a higher likelihood of homeowners in Canada making home upgrades during summer months.
- Other categories primarily relate to Adjudication & Program, Mortgage Analytics, Administration & Other, Management Revenue and Other Admin Revenues. In totality, these accounted for \$13.1M, \$14.5M and \$17.3M in FY21, FY22, and LTM Sep-23 respectively.

Breakdown of gross placement revenues

- Placement revenues pertaining to **new loans** accounted for 81.6% of LTM Sep-23 placement fee revenue.
- The uplift in margins between FY22 and LTM Sep-23 is mainly attributable to the residential business, due to higher renewals (which have lower placement expenses) and more AVEO originations (which is a higher margin product). The Company further negotiated higher investor-paid AVEO fees from Mar-23, which are contractual and are expected to remain on a go-forward basis. To a lesser degree, lower draws on the commercial side also impacted margins positively as several low-performing originators were exited as part of the Company's restructuring. Unrecovered draw amounts declined from \$1.3M in FY22 to under \$300K in YTD Sep-23.

Exhibits | E4: Headcount

Average Total FTE - By Department

#	Dec-21	FY22	LTM Sep 23
Residential	242	280	341
Commercial	193	214	203
Corporate	90	97	94
Fund Management	9	11	6
MAG	26	13	-
Total	560	614	643

Source: Monthly FTE List provided by management

FTE analysis

C\$000	FY21	FY22	LTM Sep 23
Placement Costs	3,579	4,089	3,842
Operating Salaries and benefits	53,104	64,467	72,868
Salaries and benefits, Reported	56,683	68,556	76,710
Adj #1 - Severance	-	(1,600)	(2,883)
Adj #4 - Stock Based Compensation	(217)	(69)	(155)
Diligence Adjustments	(217)	(1,669)	(3,038)
Salaries and benefits, Adjusted	56,465	66,886	73,671
Average Total FTE	560	614	643
Salary per Total Average FTE	101	109	115

Source: Management information

Basis of preparation

The adjacent table presents the Company's average headcount for FY22 and LTM Sep-23. Reported headcount figures have been sourced from the monthly FTE list provided by Management. Monthly FTE data for FY21 was not available. The figures presented are actual headcount at Dec-21. As a result, the below commentary only covers FY22 and LTM Sep-23.

- The Residential and Commercial verticals made up 84.6% of total headcount in LTM Sep-23. Residential headcount grew by 21.8% from an average of 280 in FY22 to 341 in LTM Sep-23. All other departments saw headcount decline slightly during the same period.
 - Starting in FY22, the Company reduced its reliance on contractor arrangements in FY22, converting contractors to employees to fill in labour gaps where necessary. Amounts paid to contractors decreased from \$1.7M in FY21 to \$562K in LTM Sep-23.
 - In the adjacent table, "Salaries and benefits" includes operating payroll costs, as well as compensation for originators (which are included within FTE totals) that are recorded separately as part of Net Placement Revenues on the Income Statement. See the **Consolidated P&L** section on salaries and benefits for more details.
 - Commissions are typically calculated based on revenues generated by the originator. Originators who work independently on a deal typically earn commissions on 100% of the revenue generated on that deal. Originators who jointly contribute to a deal may choose to split the revenue on a basis agreeable to them. Originators who belong to a sales team have a pre-defined revenue split.

Exhibits | E5: Net Interest Income - Mortgages

Net Interest Income

C\$000	FY21	FY22	LTM Sep 23
MBS Securitized interest revenue, net	22,929	17,146	15,251
ABCP Securitized interest revenue, net	139	147	153
Interest Income - Mortgages	2,077	2,122	2,584
Interest Revenue – Mortgages	25,144	19,416	17,988
Interest Expense – Mortgages	20,928	15,475	14,687
Net Interest Income – Mortgages	4,216	3,940	3,301
Mortgage and Loan Receivables - Average	1,057,972	801,219	676,913
As a percentage of Mortgage and Loan Receivables			
Interest Revenue – Mortgages	2.38%	2.42%	2.66%
Interest Expense – Mortgages	1.98%	1.93%	2.17%
Net Interest Income – Mortgages	0.40%	0.49%	0.49%

Source: Management information

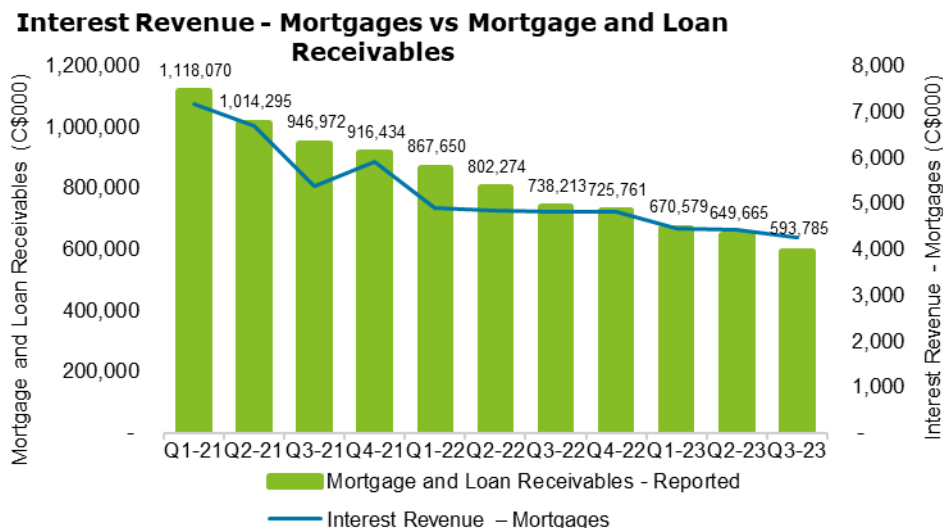
Basis of presentation

The adjacent table presents a breakdown of the Company's Interest revenue and Interest expenses on mortgages, and the average Mortgage and loan receivables reported on the balance sheet for FY21, FY22 and LTM Sep-23.

The graph presented below reflects the quarterly Interest revenue from mortgages, and the actual Mortgage and loan receivables reported at the end of the quarterly period. The analysis does not use Net interest income because it is affected by the fluctuation of certain securitization interest expenses such as MBS Indemnity.

See the **Consolidated P&L** and the **Consolidated BS** for more details on Net interest income and Mortgage and loan receivables.

- Mortgage and loan receivables balance declined by 51.2% from \$1,216.3M at Jan-21 to \$593.7M at Sep-23. This has driven the decline in Mortgage interest revenue by 28.5% in LTM Sep-23 compared to FY21. Interest expense from mortgages has also declined by 29.8% during the same period.
- As percentages of the Mortgage and loan receivable balances, Mortgage interest revenue and expenses have both increased, and they both peaked in Q3-23, reflecting the higher interest rate environment.



Source: Management information

Exhibits | E6: AR Aging

Consolidated AR

C\$000	Dec 22	Sep 23	As a % of total	
			Dec 22	Sep 23
AR - Trust	7,881	11,734	45.2%	48.9%
AR - Trade	1,191	865	6.8%	3.6%
Accrued Interest	245	378	1.4%	1.6%
GST/HST/QST	489	319	2.8%	1.3%
AR - Payroll	93	15	0.5%	0.1%
AR - Others	19	(87)	0.1%	(0.4%)
CMLS	9,918	13,225	56.8%	55.1%
AR - Trade	3,559	5,305	20.4%	22.1%
AR - Others	2,274	2,747	13.0%	11.4%
GST/HST/QST	1,004	1,707	5.8%	7.1%
AR - Trust	462	676	2.6%	2.8%
Accrued Interest	-	8	-	0.0%
AR - Payroll	-	-	-	-
Intellifi	7,298	10,443	41.8%	43.5%
CAML	152	227	0.9%	0.9%
ICR	77	44	0.4%	0.2%
CFSI	5	39	0.0%	0.2%
ICF	1	32	0.0%	0.1%
Other Entities	-	-	-	-
Consolidated AR	17,451	24,010	100.0%	100.0%

Source: monthly TBs

Trade AR Aging - Intellifi

C\$000	Current	31-60	61-90	>90	Dec 22	Current	31-60	61-90	>90	Sep 23
Top 10	2,420	276	197	630	3,523	4,974	180	465	363	5,983
Others	179	20	0	47	246	95	13	-	11	120
Total	2,599	297	197	676	3,768	5,069	194	465	375	6,103
Less: Intercompany AR	(200)	(10)	-	0	(210)	(468)	(9)	(213)	(108)	(798)
AR - Trade	2,399	287	197	676	3,559	4,602	185	252	267	5,305
As a % of total										
Top 10	64.2%	7.3%	5.2%	16.7%	93.5%	81.5%	3.0%	7.6%	6.0%	98.0%
Others	4.7%	0.5%	0.0%	1.2%	6.5%	1.6%	0.2%	-	0.2%	2.0%
Total	69.0%	7.9%	5.2%	17.9%	100.0%	83.1%	3.2%	7.6%	6.1%	100.0%

Source : 2023-09 Aged AR Listing, 2022-12 Aged AR Listing

This written communication is solely for CMLS Financial Solutions Inc.'s benefit, and is not intended to be relied upon by any other person or entity.

Basis of preparation

The adjacent table presents a breakdown of the Company's Consolidated AR on Dec-22 and Sep-23. The table below presents the Trade AR aging for the Intellifi entity only. The AR aging listings are provided by Management and reconciled to the TB.

- AR Aging is only tracked for Trade AR balances as aging is not applicable for trust receivables.
- AR - Others relates to revenue accruals, where the Company has fulfilled its obligations and is pending confirmation from the customer. Once confirmed, balances are moved into AR-Trade. The typical conversion cycle is less than 30 days; therefore, no AR aging is available for this account.
- The top 10 of Intellifi's Trade AR accounts make up a majority of the entity's AR balance (98.0% as at Sep-23). Accounts with aging greater than 90 days have declined over the Historical Period. Management investigates all items greater than 30 days, and a majority of the outstanding balances over 90 days have been collected subsequent to Sep-23.

Exhibits | E7: Prepaid Expenses

Prepaid expense

C\$000	Dec 21	Dec 22	Sep 23
Aon Reed Stenhouse Inc.	260	292	454
Prepays - Payroll	112	308	237
ITB	-	-	167
Prepays - Financing Fees	112	81	76
OMSI itf Oceanic Plaza	-	-	75
Altus Group Data Solutions Inc.	5	-	63
Hypertec Systems Inc.	52	51	60
Aon Reed Stenhouse Inc	275	335	56
Informa Canada, Inc.	-	-	49
Fully Managed Inc.	-	-	40
Financial Services Regulatory Authority of Ontario	15	16	38
Chris Brossard	10	11	32
Top 10	841	1,095	1,348
Others	667	689	541
Management Adjustments ¹	(396)	(129)	(518)
Prepaid expense - CMLS	1,112	1,655	1,370
Prepaid expense - Other Entities	20	440	270
Total Consolidated	1,133	2,095	1,641
<i>As a % of total</i>			
CMLS	98.2%	79.0%	83.5%
Other Entities	1.8%	21.0%	16.5%
Consolidated	100.0%	100.0%	100.0%

Source: 2021 Prepaid Expenses 2021-12, 2022 Prepaid Expenses 2022-12, 2023 Prepaid Expenses 2023-09v4

Note 1: these are adjustments made by management where certain prepaid expenses are not reflected in the listing but updated in the accounting system.

Basis of preparation

The adjacent table presents the Company's prepaid expense listings as of Dec-21, Dec-22, and Sep-23 for the CMLS entity only. Prepaid listings for other entities were not available. The majority of prepaids are recorded at the CMLS entity (83.5% at Sep-23). The prepaid lists are provided by Management and reconciled to the TB.

- **Top 10:** Primarily relate to insurance, payroll, advance payments for operating expenses, software subscription and support, and Membership/License Dues.
- **Management Adjustments:** Since prepaid listings are manually tracked by Management, there are manual reconciling items where certain prepaid expenses have not yet been updated by Management in the listing but are already updated in the accounting system.



Exhibits | E8: AP Aging

Accounts Payable & Accrued Liabilities - Consolidated

C\$000	Dec 21	Dec 22	Sep 23
Trade AP	(1,126)	(2,389)	(794)
AP - Brokers	(2,191)	(1,291)	(1,612)
Payroll accruals	(6,681)	(9,528)	(11,029)
Accrued liabilities	(3,165)	(2,423)	(8,284)
Accounts Payable & Accrued Liabilities	(13,163)	(15,630)	(21,719)

Source: Monthly TB by Entity

Commentary

- **Trade AP:** Comprises a variety of operating expense invoices received and entered into the system as of the reporting date.
- **AP – Brokers:** Pertains to accrued commissions that are owed to commercial originators and residential external brokers upon loan funding and fees earned.
- **Payroll accruals:** The Company introduced new incentive programs in FY22 as described in **EBITDA Adj #27**. Together with the increased bonuses for strong operational results, the additional incentives resulted in increased payroll accruals over the Historical Period. The Company accrues for bonuses monthly throughout the fiscal year and pays out bonuses in February of the following year.
- **Accrued liabilities:** Pertains to accrued professional fees, accrued travel, meals, & entertainment costs, and trade invoices received but not yet entered into the system as of the reporting date. The Sep-23 balance also contains \$4.6M of CGHLI Axiom fees, which had a balance of nil on Dec-22 and Dec-21. The Company is contracted to pay Axiom, its underwriting software provider, a fee whenever a loan is funded. However, there is a time lag between when the loan is adjudicated by the Company and when it is eventually funded. The Company receives its revenues upon adjudication and thus recognizes a liability for the amount owing to Axiom, as it can be reasonably expected that a loan will be funded within 12 months of being adjudicated for approval.

Exhibits | E9: Recasted Income Statement

Recast Income statement | CMLS Consol

C\$000	Reported			Diligence adjustments			Diligence adjusted EBITDA			Pro-forma adjustments			Pro-forma adjusted EBITDA		
	FY21	FY22	LTM Sep 23	FY21	FY22	LTM Sep 23	FY21	FY22	LTM Sep 23	FY21	FY22	LTM Sep 23	FY21	FY22	LTM Sep 23
Administration Revenue	45,547	59,687	83,770	(150)	(185)	-	45,397	59,502	83,770	(723)	(1,557)	(309)	44,674	57,945	83,462
Net placement revenue	29,801	23,508	25,927	(35)	81	54	29,766	23,590	25,981	-	-	-	29,766	23,590	25,981
Securitization and other income	3,018	4,147	7,737	-	-	-	3,018	4,147	7,737	-	-	-	3,018	4,147	7,737
Software Services	3,907	4,753	5,198	-	-	-	3,907	4,753	5,198	-	-	-	3,907	4,753	5,198
Net interest income	4,216	3,940	3,301	-	-	-	4,216	3,940	3,301	-	-	-	4,216	3,940	3,301
Realized Gain (loss) on financial instruments	3,749	6,744	3,005	-	-	40	3,749	6,744	3,045	-	-	-	3,749	6,744	3,045
Revenue	90,238	102,780	128,938	(185)	(104)	94	90,053	102,677	129,033	(723)	(1,557)	(309)	89,329	101,120	128,724
Salaries and benefits	(53,104)	(64,467)	(72,868)	217	1,669	2,739	(52,887)	(62,797)	(70,129)	2,428	3,911	1,645	(50,459)	(58,887)	(68,484)
Other Operating	(20,405)	(27,794)	(37,278)	(128)	(670)	(1,006)	(20,532)	(28,463)	(38,283)	648	1,822	317	(19,884)	(26,642)	(37,967)
Non-operating expense	(235)	(877)	(2,813)	110	539	2,349	(125)	(338)	(463)	-	-	-	(125)	(338)	(463)
Amortization	(2,219)	(1,738)	(2,043)	-	-	-	(2,219)	(1,738)	(2,043)	-	-	-	(2,219)	(1,738)	(2,043)
Expenses	(75,963)	(94,876)	(115,001)	200	1,539	4,082	(75,763)	(93,337)	(110,919)	3,076	5,732	1,961	(72,687)	(87,605)	(108,957)
Income before income tax expense	14,275	7,904	13,937	15	1,435	4,177	14,290	9,339	18,114	2,352	4,175	1,653	16,642	13,515	19,767
Income tax expense	(3,921)	(2,371)	(5,470)	-	-	-	(3,921)	(2,371)	(5,470)	-	-	-	(3,921)	(2,371)	(5,470)
Net income	10,354	5,533	8,468	15	1,435	4,177	10,369	6,968	12,644	2,352	4,175	1,653	12,721	11,143	14,297
Interest Expense	953	1,122	1,642	-	-	-	953	1,122	1,642	-	-	-	953	1,122	1,642
Remove: Interest income on bank balances	(24)	(39)	(90)	-	-	-	(24)	(39)	(90)	-	-	-	(24)	(39)	(90)
Net Interest Expense	929	1,084	1,551	-	-	-	929	1,084	1,551	-	-	-	929	1,084	1,551
Amortization	3,593	3,752	4,427	-	-	-	3,593	3,752	4,427	-	-	-	3,593	3,752	4,427
Tax	3,921	2,371	5,470	-	-	-	3,921	2,371	5,470	-	-	-	3,921	2,371	5,470
EBITDA	18,797	12,740	19,916	15	1,435	4,177	18,812	14,175	24,093	2,352	4,175	1,653	21,164	18,350	25,745
As a % of revenue															
Net income	11.5%	5.4%	6.6%	n/a	n/a	n/a	11.5%	6.8%	9.8%	n/a	n/a	n/a	14.2%	11.0%	11.1%
EBITDA	20.8%	12.4%	15.4%	n/a	n/a	n/a	20.9%	13.8%	18.7%	n/a	n/a	n/a	23.7%	18.1%	20.0%

Source: Monthly TB by Entity

Exhibits | E10a: BU Vertical - Consolidated P&L (FY21)

Consolidated P&L - Vertical View with Rec to TB

C\$000	FY21						Per TB	Variance
	Commercial	Residential	Fund Management	Corporate	Eliminations	Financial Model		
Administration Revenue	32,840	24,335	512	44	(2,390)	55,341	55,221	120
Net Interest Margin	(73)	4,099	-	1	-	4,027	4,216	(189)
Net Placement Revenue	11,045	19,395	212	-	149	30,800	30,800	-
Revenue	43,813	47,829	723	45	(2,241)	90,169	90,238	(69)
Expenses	(31,012)	(44,306)	(1,604)	(421)	2,436	(74,883)	(74,889)	6
Operating income	12,801	3,523	(881)	(376)	195	15,286	15,349	(63)
Realized/Unrealized Foreign Exchange Gain/(Loss)	-	-	-	-	-	2	2	0
Loan Interest Expense	-	-	-	-	-	(125)	(125)	-
Intangible Amortization	-	-	-	-	-	(839)	(839)	-
Unrealized Hedging Gain (Loss)	-	(25)	-	-	-	(54)	(54)	(0)
Other Income (Expense)	-	-	-	-	(3,194)	(0)	-	(0)
Dividend on Escrow Shares	-	-	-	-	-	(133)	(133)	-
Mark-to-Market on Escrow Shares	-	-	-	-	-	75	75	-
Income before income taxes	12,801	3,498	(881)	(376)	(2,999)	14,212	14,275	(63)
Income Tax Expense	-	-	-	-	-	(3,921)	(3,921)	-
Net income (loss)	12,801	3,498	(881)	(376)	(2,999)	10,291	10,354	(63)

Note: Accounts marked in grey are not bifurcated by vertical.

Source: CFSI Financial Model - Gamma Fcst 12-13-23; monthly TBs

Basis of preparation

- The above table presents a breakdown of the Company's Consolidated P&L by BU verticals for FY21. Reported figures have been sourced from the financial model provided by Management and reconciled to the reported TB amounts with marginal differences.

Exhibits | E10b: BU Vertical - Consolidated P&L (FY22)

Consolidated P&L - Vertical View with Rec to TB

C\$000	FY22						Per TB	Variance
	Commercial	Residential	Fund Management	Corporate	Eliminations	Financial Model		
Administration Revenue	31,411	40,631	932	74	114	73,162	73,124	38
Net Interest Margin	(257)	4,195	3	-	-	3,940	3,940	-
Net Placement Revenue	8,249	16,845	622	-	-	25,716	25,716	-
Revenue	39,402	61,671	1,557	74	114	102,818	102,780	38
Expenses	(32,212)	(53,194)	(2,429)	(5,819)	(43)	(93,681)	(93,842)	161
Operating income	7,190	8,477	(872)	(5,744)	71	9,138	8,938	199
Realized/Unrealized Foreign Exchange Gain/(Loss)	-	-	-	-	-	(6)	(6)	-
Loan Interest Expense	-	-	-	-	-	(84)	(84)	-
Intangible Amortization	-	-	-	-	-	(411)	(411)	-
Unrealized Hedging Gain (Loss)	-	485	-	-	-	173	173	-
Other Income (Expense)	-	-	-	-	(26,944)	(706)	(706)	-
Dividend on Escrow Shares	-	-	-	-	-	-	-	-
Mark-to-Market on Escrow Shares	-	-	-	-	-	-	-	-
Income before income taxes	7,190	8,962	(872)	(5,744)	(26,873)	8,103	7,904	199
Income Tax Expense	-	-	-	-	-	(2,371)	(2,371)	-
Net income (loss)	7,190	8,962	(872)	(5,744)	(26,873)	5,732	5,533	199

Note: Accounts marked in grey are not bifurcated by vertical.

Source: CFSI Financial Model - Gamma Fcst 12-13-23; monthly TBs

Basis of preparation

- The above table presents a breakdown of the Company's Consolidated P&L by BU verticals for FY22. Reported figures have been sourced from the financial model provided by Management and reconciled to the reported TB amounts with marginal differences.

Exhibits | E10c: BU Vertical - Consolidated P&L (YTD Sep-23)

Consolidated P&L - Vertical View with Rec to TB

C\$000	YTD Sep-23						Financial Model	Per TB	Variance
	Commercial	Residential	Fund Management	Corporate	Eliminations				
Administration Revenue	26,694	46,910	766	255	(24)		74,601	74,577	24
Net Interest Margin	(172)	2,679	-	-	-		2,507	2,507	-
Net Placement Revenue	7,757	15,033	-	-	-		22,790	22,790	-
Revenue	34,280	64,621	766	255	(24)		99,898	99,874	24
Expenses	(24,191)	(58,840)	(1,529)	(1,186)	24		(85,723)	(85,721)	(1)
Operating income	10,088	5,781	(763)	(931)	-		14,175	14,153	22
Realized/Unrealized Foreign Exchange Gain/(Loss)	-	-	(2)	-	-		(7)	(7)	(0)
Loan Interest Expense	-	-	-	-	-		(220)	(220)	(0)
Intangible Amortization	-	-	-	-	-		(104)	(184)	80
Unrealized Hedging Gain (Loss)	-	(415)	-	-	-		(1,223)	(1,223)	(0)
Other Income (Expense)	-	(501)	-	-	(7,642)		(1,704)	(1,624)	(80)
Dividend on Escrow Shares	-	-	-	-	-		-	-	-
Mark-to-Market on Escrow Shares	-	-	-	-	-		-	-	-
Income before income taxes	10,088	4,865	(765)	(931)	(7,642)		10,917	10,895	22
Income Tax Expense	-	-	-	-	-		(4,070)	(4,070)	0
Net income (loss)	10,088	4,865	(765)	(931)	(7,642)		6,847	6,825	22

Note: Accounts marked in grey are not bifurcated by vertical.

Source: CFSI Financial Model - Gamma Fcst 12-13-23; monthly TBs

Basis of preparation

- The above table presents a breakdown of the Company's Consolidated P&L by BU verticals for YTD Sep-23. Reported figures have been sourced from the financial model provided by Management and reconciled to the reported TB amounts with marginal differences.



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Appendices | A1: Scope of services

Summary of Due Diligence and Other Transaction Services:

Unless otherwise specified, our due diligence analysis focused on the last two fiscal years ended December 31, 2021 (FY21), December 31, 2022 (FY22) and the most recent trailing twelve-month period ended in 2023 (TTM-23) (collectively the “Historical Period”).

Financial due diligence:

For clarity, our scope of work focused on the core operations of CMLS Financial Solutions Inc. and excluded detailed analysis of any securitization vehicles or investment funds, apart from the portfolio analytics scope detailed below.

General matters:

- Read available background information (overview of the company’s history, structure and operations) to identify preliminary accounting issues and risk areas for further consideration.
- Read a legal entity organization chart. Inquire as to the locations and activities of significant entities & activities and intercompany & related party transactions.
- Read and analyze financial, accounting, and other relevant information made available in the data room to identify major issues and risk areas for further consideration.
- Obtain and read management financial reporting packages and board packages (if available) with a focus on key trends in revenue by streams, NIM earned on mortgages, direct costs & contribution margin, and AUA/AUM trends, with indication of the key influencing factors.
- Obtain and read the audited & internally prepared financial statements. Inquire as to the company’s internal accounting & financial controls environment, including:

- Significant accounting policies, with a focus on i) revenue recognition policies for placement & administration fees, software services, and gains/losses on financial instrument; ii) expected credit loss provisioning; iii) related party transactions; and iv) any other areas of significant judgement.
- The Company’s consolidated processes, including gaining a high-level understanding of fund & securitization vehicles which are not consolidated
- The process and timing of closing/consolidation cycles, including the consistency of interim financial reporting policies and procedures compared to those used in the annual audited financial statements
- Recent or prospective changes in accounting policies, procedures, and practices that could affect comparability or trends in earnings or cash flows
- Significant accounts subject to estimation
- Events subsequent to the most recent balance sheet date that could have a significant impact on current financial position, future earnings or cash flows

Independent Auditors:

- Read the independent auditors’ working papers for the most recently completed audit.
- Inquire of the company’s independent auditors about:
 - Major issues and audit risk areas, significant judgments or estimates, unusual transactions and any disagreements with management
 - History of audit adjustments proposed and their disposition
 - Accounting systems and internal controls, material weaknesses or reportable conditions
 - Inquire about recent regulatory examinations, issues, etc.



Appendices | A1: Scope of services

Independent Auditors (continued)

- Read management letters issued within the past two years and inquire of the company's independent auditors as to matters identified for inclusion for the current year and the status of corrective actions taken by management.

Quality of earnings

- With an emphasis on the quality, reliability, and composition of the Company's operating income, prepared a monthly normalized operating income (before taxes & depreciation) analysis for FY21, FY22 and TTM-23 considering the impact of:
 - Analysis of Management's normalized and proforma adjustments to reported earnings, including areas of judgement and key assumptions used
 - Abnormal, non-recurring, out-of-period, one-off and extraordinary items (e.g. one-off advisory fees), including any government subsidies
 - Related party transactions and transactions conducted on a non-arm's length basis
 - Any unusual fluctuations in monthly amounts
 - Significant differences between accrual and cash-basis revenues and expenses
 - Recently acquired or discontinued revenue streams
 - Changes in, or unusual, inconsistent or non-compliant accounting policies
 - Basis of "reserves" (e.g., provision for credit losses, asset impairment, litigation and claims, potential losses) and the potential impact from under / over accrual;
 - Any potential pro forma adjustments or other potential adjustments identified from our due diligence that impact the run-rate level of expenditures (e.g. historical acquisitions/dispositions)

Quality of earnings (continued)

- For clarity, interest income of an operating nature earned from mortgages & operating interest expense (e.g. interest on securitization debt) will be considered within normalized operating income, while non-operating interest would be excluded.
- Prepare a recast income statement for the Historical Period incorporating all proposed diligence adjustments.
- Obtain and analyze a breakdown of monthly revenues and direct costs to identify the key drivers of underlying trends, including:
 - Analysis of net revenue by components (e.g., net interest income, placement and administration fees (net of placement costs & commissions paid), software services and securitization and other income)
 - Analysis of SG&A costs, with a focus on differentiation between fixed, variable, and semi-variable costs
 - Analysis of compensation and benefits cost by nature (e.g., salaries, cash bonuses, share based compensation including stock options), and the impact on earnings
- Understand trends & drivers of key performance indicators (e.g., loans originated, AUM development and mortgages under administration, basis points for management fees and other drivers as appropriate).
- At a high-level, understand the impact of changes in interest rates on NIM and perform a constant rate analysis.



Appendices | A1: Scope of services

Working capital (provided under separate cover)

- Analysis of monthly working capital trends with a focus on elements directly attributable to operations, excluding the impact of cash (restricted & unrestricted), accounting reserves, significant accruals for capital expenditures, debt, interest and income taxes
- Adjust working capital for non-recurring and non-operating items to assess “normalized” levels of working capital
- Analysis of other receivables (accounts receivables and placement fee receivables), including aging & related party balances. Inquire about billing and credit policies, including special credit terms and collection performance, collectability of large overdue balances, and basis for and adequacy of provision for credit losses
- Analysis of account payables. Inquire about:
 - Normal and special credit terms
 - Payment practices and timing of related cash outflows
 - Significant past due payables
 - Any disputes with suppliers
- Analyze a summary of accrued and other liabilities. Inquire about the basis for accruals for items such as bonuses, accrued management fees and salaries, servicing liability, other deferred compensation (e.g., earn-outs), severance, commissions, vacation pay, pensions/other post-employment benefits, litigation, sales allowances and credits, etc.
- Inquire about factors affecting the trends indicated (such as seasonality)
- Inquire about regulatory capital requirements (as applicable)

Other assets and liabilities

- At a high-level, understand historical trends in and composition of the securitized mortgage portfolio, leveraging analysis performed as part of the portfolio analytics workstream
- Inquire about exposure to contingencies (e.g., unasserted claims, litigation, regulatory items, guarantees, earn-outs, contingent payments, etc.), commitments (e.g. shareholder payments, leases, future advances on mortgage receivables, post-employment benefits, funding commitments, non-controlling interests, etc.), any restrictions on cash and capital, and other off-balance sheet exposures or other items that may potentially have significant cash out-flows or be accelerated by the proposed transaction.
- Understand the nature of restricted cash balances and cash held as collateral
- Inquire on amounts and nature of used and unused letters of credit.
- Understand the nature of hedges in place and analyze the accounting treatment of hedges used by the company at a high level.
- Inquire about off-balance sheet transactions, instruments, or special purpose entities
- Any other significant commitments with respect to seed or other funding commitments, redeemable non-controlling interests, potential acquisitions, long term lease commitments, post-employment benefits, etc.



Appendices | A1: Scope of services

Deliverables: Our deliverables will be prioritized, and we will endeavor to communicate to you our significant issues and findings as they arise so that you can, as you deem appropriate, address the related business and deal issues as soon as possible. It will not always be possible for all of our communications to be in the form of written reports; however, we will endeavor to provide significant observations in written form prior to the completion of the engagement. As agreed with you, our deliverables will include the following:

- Interim Communications — Progress updates and summaries of significant findings on an interim basis will be provided either orally or in the form of a bullet point outline. Such communications will be provided as often as deemed necessary by Client for the purpose of interim communication of significant issues.
- Issue Summary Memorandum — A written communication of our detailed findings and observations and supporting Excel databook will be provided on completion of our fieldwork. Our draft memorandum will typically contain certain outstanding matters that may require further clarification by or information from Company management. As additional information is received, we may issue additional versions of our memorandum.

Mortgage portfolio analytics (provided under separate cover):

Portfolio Snapshot Analysis:

- Evaluate the Company's mortgage portfolio with a deep dive into KPIs such as origination, yield%, delinquency, loss, mortgage type, etc.
- Understand key loan characteristics from macro level to individual loans to gain a deeper understanding of the loan portfolio acquired by different segment. Key analysis filters include by region, origination year, customer group and other major dimensions.

Loan Trend Analysis:

- Assess the portfolio's historical trends through a time series analysis of the main KPIs including origination, current balance, interest rate, delinquency value, yield%, etc.

Mortgage portfolio analytics (continued):

Loan Trend Analysis (continued):

- Perform analysis to understand future principal repayments for outstanding mortgage vs. paid off mortgage by mortgage type.

Exception Analysis:

- Understand key parameters like loan-to-value ratio, credit score, debt service coverage ratio, etc. to identify non-compliant loans and provide insight into the Company's risk portfolio by investor type.
- Analyze other risk factors such as customers'/investors' debt capacity in comparison to their net income level, to the extent data is available.

Deliverable (Analytics): Our deliverables consist of:

- An interactive dashboard for the Areas of Focus that can be used dynamically by changing multiple filters to view different metrics and cuts of analysis (e.g. origination, yield %, customer profile, delinquency, loan risk rates etc.)
- Summary of observations and key trend analysis



Appendices | A2: Scope exclusions and limitations

Scope exclusions

Although not intended to be an all-inclusive list, the following services were specifically excluded from the scope of our engagement at Client's request:

- Review of business operations
- Tax due diligence or tax structuring
- Review of historical capex spend and requirements
- Risk management practices (including insurance, trading and commodity activities, security)
- Assessment of the commercial merits of the Proposed Transaction
- Employee benefits and other human resource matters
- Evaluation of management information systems
- Environmental assessments
- Valuation and appraisal services
- Integration assistance
- Involvement of employee, insurance, and actuarial specialists
- Background investigations
- Internal accounting and disclosure control
- Identification or Assessment of post-transaction synergies
- IT/Cyber diligence

Scope limitations

As of the date of this written communication, an audit of the Company's financial statements, as of any date subsequent to December 31, 2022 has not been completed. Accordingly, any financial information for 2023 interim reporting periods and the year-end ending December 31, 2023, contained herein and otherwise provided by the Company, is subject to adjustment as a result of the completion of any audit.

We generally did not duplicate the matters that would be addressed by Client, Client's legal counsel, or other professionals engaged to assist Client with its due diligence. Our observations to date may be subject to change based upon the following: (1) obtaining certain information requested but not received from management of the Company and (2) obtaining access to the completed due diligence results of Client's legal and other professional advisors.



Appendices | A3: Certain terms of engagement

Consultative engagement

The Services do not constitute an audit conducted in accordance with generally accepted auditing standards, an examination of or any other form of assurance with respect to internal controls, or other attestation or review services in accordance with standards or rules established by the Chartered Professional Accountants of Canada (CPA Canada), the American Institute of Certified Public Accountants (AICPA), the Canadian Public Accountability Board (CPAB), Public Company Accounting Oversight Board (PCAOB), or other regulatory body.

Client responsibilities

Client is responsible for obtaining all necessary authorizations and consents from the Company, its advisors, and its accountants, in order to permit us to perform the Services, including, without limitation, disclosure of the Company's confidential information to us in connection with the Proposed Transaction.

The Services may include advice and recommendations, but Client is responsible for making any decisions in connection with the implementation of such advice and recommendations. Furthermore, Client shall be solely responsible for, among other things: (i) making all management decisions, performing all management functions, and assuming all management responsibilities; (ii) designating a competent management member to oversee the Services; (iii) evaluating the adequacy and results of the Services; (iv) accepting responsibility for results of the Services; and (v) establishing and maintaining internal controls, including, without limitation, monitoring ongoing activities. In connection with the Services, we shall be entitled to rely on all decisions and approvals of Client.

Limitations of the services

The Services are limited in nature and do not comprehend all matters relating to the Company that might be pertinent or necessary to the evaluation of the Proposed Transaction. Accordingly, the Services should not be taken to supplant other inquiries and procedures that an investor or any third party should undertake for the purpose described above. We have no responsibility for the sufficiency of the Services and make no representation as to the sufficiency of the Services for any purpose.

Neither we nor this written communication will express an opinion or any other form of assurance with respect to any matters as a result of the performance of the Services, including, without limitation, concerning (i) the financial statements of any entity or any financial or other information, or operating or internal controls of any entity, taken as a whole, for any date or period; (ii) the merits of any transaction, including, without limitation, the consideration to be paid; (iii) the future operations of any entity; (iv) the fairness of the contemplated terms of any transaction; or (v) any forward looking information (including, but not limited to, any models, projections, forecasts, budgets, synergies, feasibility analyses, assumptions, estimates, methodologies, or bases for support) or the feasibility or achievability of such forward-looking information.

In the performance of the Services, we did not perform any evaluation of internal controls and procedures for financial reporting upon which Client's management can base its assertions in connection with the Sarbanes-Oxley Act of 2002 ("Sarbanes-Oxley") or any similar related rules or regulations. We will make no representations or warranties and will provide no assurances that any entity's disclosure controls and procedures are compliant with the certification requirements of, or any entity's internal controls and procedures for financial reporting are effective as required by, Sarbanes-Oxley or any other standards, rules, or regulations, including, without limitation, Sections 302 and 404 of Sarbanes-Oxley.

The Company's financial statements, including, without limitation, the application of generally accepted accounting principles ("GAAP") to record the effects of the Proposed Transaction, are the responsibility of management of the Company. Accordingly, any comments made by us relating to the accounting or tax treatment of selected balances or transactions or the application of GAAP or the technical merits of the tax positions and planning strategies related to the Company or the Proposed Transaction as a whole are intended to serve only as general guidance to assist Client to better understand certain accounting or tax matters related to the Company and the potential effects of the Proposed Transaction. Such comments are necessarily based on our preliminary understanding of the pertinent facts and circumstances and on current authoritative literature, and are, therefore, subject to change. Such comments do not constitute the rendering of a tax opinion or a report on the application of accounting principles in accordance with standards or rules established by CPA Canada, AICPA, CPAB, PCAOB, or other regulatory body.



Appendices | A3: Certain terms of engagement

Limitations of the services (continued)

The performance of the Services does not constitute (i) a recommendation regarding any transaction, including, without limitation, the acquisition or financing of any business, assets, liabilities, or securities; (ii) a market or financial feasibility study; (iii) a fairness or solvency opinion; or (iv) an examination or compilation of, or the performance of agreed upon procedures with respect to prospective financial information in accordance with standards or rules established by the CPA Canada, the AICPA, the CPAB, the PCAOB, or other regulatory body. The Services and this written communication are not intended to be, and shall not be construed to be, “investment advice” within the meaning of the Investment Advisers Act of 1940.

It is understood that we are not providing, nor will we be responsible for providing, legal advice. In addition, any forward-looking information is the responsibility of applicable management. In this regard, applicable management is responsible for representations about its plans and expectations and for disclosure of significant information that might affect the ultimate realization of such forward-looking information, and we have no responsibility therefor.

The performance of the Services is heavily dependent upon (i) Client’s timely decisions and approvals in connection with the Services, and (ii) being provided timely access to accurate and complete versions of relevant materials and information, including, without limitation, materials and information requested, and complete and accurate answers to questions. We have no responsibility for the accuracy or completeness of the information provided by, or on behalf of, Client or the Company. We have not been engaged to detect errors or fraud and this written communication may not disclose errors or fraud should they exist.

Other relationships

One or more of the member firms of Deloitte Touche Tohmatsu Limited, including, without limitation, Consultant, or any of its affiliates or related entities, may be engaged to provide audit, tax, consulting, or other services (including, without limitation, services in connection with the Proposed Transaction and related financing arrangements) to, and may have other business relationships with, Client, the Company, parties other than Client considering a transaction involving Company, or their respective affiliates. We have no responsibility to Client (1) relating to such services or other relationships in connection with the Proposed Transaction, or (2) to use or disclose any information, including, without limitation, the identity of such other parties, that we possess by reason of such services or other relationships.

Exemption relating to PCAOB Rule 3501(c) of PCAOB Release 2005-14 and Tax Shelter Regulations under the US Internal Revenue Code Sections 6011 and 6111 or other similar rules

We acknowledge that we have not placed any limitations on Client’s disclosure of the tax treatment or tax structure associated with the tax Services or transactions described in this written communication. Nothing herein shall be construed as limiting or restricting disclosure of the tax treatment or tax structure of the transaction as described in Rule 3501(c)(i) of PCAOB Release 2005-014 or Internal Revenue Code (“IRC”) sections 6011 and 6111 and related Internal Revenue Service (“IRS”) guidance or other similar rules and regulations. Client acknowledges that none of its other advisors have imposed or will impose any conditions of confidentiality with respect to the tax treatment or tax structure associated with the tax Services or transactions described herein. The Services are solely for Client’s informational purposes and internal use, and this engagement does not create privity between us and any person or party other than Client (“third party”). Our engagement is not intended for the express or implied benefit of any third party. Unless otherwise agreed to in writing by us, no third party is entitled to rely, in any manner or for any purpose, on this written communication.



Appendices | A4: Glossary

#	Number	BU	Business Unit
%	Percentage	C\$ or CAD	Canadian dollars
A/R or AR	Accounts receivable	CAML	CMLS Asset Management Ltd
ABCP	Asset-backed commercial paper	CAS	CMLS Alternative Solutions
ACLP (formerly RCFi)	Apartment Construction Loan Program	CCMOT	Canadian Commercial Mortgage Origination Trust
Adj.	Adjustment	CEO	Chief Executive Officer
Admin	Administration	CFA	CMLS Financial Assets
AFS	Audited financial statements	CFO	Chief Financial Officer
AICPA	American Institute of Certified Public Accountants	CFSI or "the Company"	CMLS Financial Solutions Inc.
AP	Accounts payable	CGHLI	Canada Greener Homes Loan
ASPE	Accounting Standards for Private Enterprises	CHT	Canada Housing Trust
AUA	Assets under administration	Client	CMLS Financial Solutions Inc.
AUAE	AUA Equivalent	CMB	Canada Mortgage Bond
AUM	Assets under management	CMBS	Commercial mortgage-backed securities
b	Billion	CMF	CMLS Mortgage Fund
BPO	Business Process Outsourcing	CMHC	Canada Mortgage and Housing Corporation
bps	Basis points	CMLS	CMLS Financial Ltd
BS	Balance sheet	COGS	Cost of goods sold



Appendices | A4: Glossary

Comp	Compensation	ERP	Enterprise Resource Planning
Consultant	Deloitte LLP	Exec	Executive
Contd.	Continued	FI	Financial Institution
COVID-19	Novel Coronavirus	FM	Fund Management
CPA Canada	Chartered Professional Accountants of Canada	FS	Financial statements
CPAB	Canadian Public Accountability Board	FTE	Full time equivalent
CRM	Customer Relationship Management	FV	Fair Value
CSI	Computershare Investor	FVOCI	Fair Value through Other Comprehensive Income
CSSI II	CMLS Shared Services II Inc.	FVTPL	Fair Value through Profit or Loss
D&A	Depreciation and amortization	FX or Forex	Foreign exchange
Diff.	Difference	FY	Financial year
DMA	Deferred market adjustment	FY21, FY22 and FY23	Year ended 31 December 2021, 2022 and 2023
DSCR	Debt Service Coverage Ratio	GAAP	Generally Accepted Accounting Practice
DUCA	Dutch Canadian Toronto Credit Union Ltd	GL	General Ledger
E&O	Errors & Omissions	H2-FY22	Second half of FY22
EBITDA	Earning before interest, tax, depreciation and amortization	HR	Human Resources
ECL	Expected Credit Loss	IC	Intercompany
EFT	Electronic Funds Transfers	ICF	IC Funding Financial Corporation



Appendices | A4: Glossary

IFRS	International Financial Reporting Standards	NIM	Net interest margin
Intellifi or Delta	Intellifi Corporation	NWC	Net working capital
IS	Income statement	P&L	Profit and loss
IT	Information technology	p.a	Per annum
ITC	Investment Tax Credits	PCAOB	Public Company Accounting Oversight Board
k	Thousands	PP&E	Property, plant & equipment
LoC	Line of Credit	Q1, Q2, Q3, Q4	Quarter 1, 2, 3 and 4
LTM Sep-23	Last twelve months ended 30 September 2023	Q3-23	Quarter ended 30 September 2023
LTV	Loan to Value	Q4-23	Quarter ended 31 December 2023
m	million	QoE	Quality of earnings
MAG	Mortgage Analytics Group	RBC	Royal Bank of Canada
Management	Company's management	REALTY or ICR	CMLS Realty Ltd
MBS	Mortgage backed securities	ROU	Right of Use
MTM	Month to month	SaaS	Software as a service
MUA	Mortgages under admin	Sarbanes-Oxley	Sarbanes-Oxley Act of 2002
n.q.	Non quantifiable	SBC	Stock-based compensation
N/A	Not Applicable	SLG	Strategic Lending Group
NAV	Microsoft Navision	SPA	Sale Purchase Agreement
NHA	National Housing Act		

Appendices | A4: Glossary

SR&ED	Scientific Research & Experimental Development
SVP	Senior Vice President
T&E	Travel and entertainment
TB	Trial balance
TD	Toronto Dominion
USD	United States Dollar
UW	Underwriting
YTD	Year to date

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